



Enforcement Rules of Securities Market Clearing and Settlement Business Regulation

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TABLE OF CONTENTS

CHAPTER I. COMMON PROVISIONS	2
§1. Purpose	2
§2. Definitions	2
CHAPTER II. CLEARING AND SETTLEMENT IN SECURITIES MARKET	2
Section 1. General Provisions.....	2
§3. Exclusions from Application of Clearing and Settlement to Securities Finance Companies, etc.	2
§4. Clearing Member's Request for Correction of Error Trades in Transactions Financed by Securities Finance Company, etc.	2
§5. Details of Target Trades	3
§6. Notification of Transaction Details of Multilateral Trading Company	3
Section 2. Methods of Clearing and Settlement in Securities Market.....	4
§7. Notification of Settlement Details of Transactions Financed by Securities Finance Company.....	4
§8. Scope of Stocks, etc. and Method of Determining Settlement Securities and Settlement Payments	5
§9. Calculation Method of Settlement Securities and Settlement Amounts for Trades in KRX KTB.....	6
§10. Notification Time of Final Settlement Securities and Settlement Amounts to Members, Korea Securities Depository and Bank of Korea, etc.....	6
§11. Request for Change of Settlement Deadline.....	7
§12. Method of Securities Delivery, etc.	8
§13. Calculation Method of Maximum Quantity of Receivable Security, etc.	10
§14. Requirements for Clearing Members and Settlement Banks	12
§15. Notification of Fulfillment and Non-fulfillment of Settlement by Korea Securities Depository	13
§16. Securities Eligible for Financing Settlement Fund at KRX KTB Market.....	13
§17. Financing and Repayment of Settlement Fund at KRX KTB Market.....	13
§18. Haircut of RP Trade and Calculation of Market Value	14
§19. Appraisal of Purchased Bonds and Purchase Price of Individual Repo Agreement	14
§20. Appraisal of Balance of Additional Margin of Individual Repo Agreement	15
§21. Calculation of Net Exposure for All Trades of Identical Both Parties.....	15
§22. Notification of Net Exposure of Repo trade, etc.	16
§23. Return of Additional Margin of Repo Trade	17
Section 3. Special Cases of Securities Settlement	17
§24. Range of Issues Settled on Record Date and Securities Precluded From Non-delivery	17
§25. Calculation Method of Settlement Securities and Settlement Payment in Case of Non-delivery and Non-receipt of Stocks, etc.	18
§26. Calculation Methods of Deferred Settlement Payment, etc.	18

§27. Buy-in and Delivery by Exchange of Undelivered Stocks, etc.	19
§28. Methods of Obtaining Consent of Member receiving Securities Delivery Bill, etc.	21
§29. Exchange of Repo Bonds	22
§30. Substitution of Repo Bonds.....	22
§31. Special Cases Concerning Securities Settlement.....	23
CHAPTER III. MEMBER MARGIN, ETC.	24
§32. Calculation of Member Margins by Member	24
§33. Calculation of Net Exposure Margin.....	25
§34. Settlement Price When Calculating Variable Margin	25
§35. Deposit Limits of Substitute Securities and Foreign Currencies.....	25
§36. Types and Valuation of Foreign Currencies, etc.	25
§37. Management of Intraday Settlement Risk, etc.....	26
§38. Verification of Member Margin Calculation Method, etc.....	27
§39. Deposit and Withdrawal of Member Margins	27
§40. Designation of Banks for Receipt and Payment of Member Margin and Termination of Designation Thereof	27
§41. Operation of Member Margins, etc.	28
§42. Calculation of Additional Intraday Member Margin, etc.	28
§43. Depositing of Additional Intraday Member Margins, etc.	29
§44. Release from Imposition of Additional Intraday Member Margin.....	29
§45. Assessment of Eligibility of Substitute Securities and Invalidation of Ineligible Substitute Securities, etc.....	30
§46. Deposit Limit per Issue of Substitute Securities and Deduction Methods, etc.	31
§47. Classification of Substitute Securities for Calculating Substitute Prices, etc.	33
§48. Timing of Calculation of Substitute Prices and Application Thereof	34
§49. Calculation Methods of Substitute Prices.....	34
§50. Base Market Prices and Assessment Rates of Listed Stocks, DRs of Foreign Stocks, Collective Investment Securities of ETFs and ETNs	35
§51. Assessment Rates of Securities in Stock Group Designated as Substitute Securities during Quarter	36
§52. Special Cases Concerning Assessment Rates of Initially Listed Issues, etc. among Securities Falling under Stock Groups	36
§53. Base Market Prices and Assessment Rates of Listed Debt Securities.....	37
§54. Base Market Prices and Assessment Rates of Beneficiary Certificates	37
§55. Base Market Prices and Assessment Rates of Unlisted Stocks of Investment Companies	38
§56. Special Cases concerning Calculation of Substitute Prices, etc.	38
§57. Substitute Prices of Beneficiary Certificates Noted in Article 189 of the Act, etc.	40
§58. Publication of Substitute Prices	40
CHAPTER IV. MANAGEMENT OF SETTLEMENT RISK, ETC.	41
§59. Notification of Settlement Capability of Clearing Member, etc.	41
§60. Standard Time of Liquidity Supply	42

§61. Types of Financial Resources for Settlement, etc.	43
§62. Calculation Method of Late Settlement Fee, etc.	44
§63. Settlement Support by Employee of the Exchange	46
§64. Implementation of Crisis Management Drill.....	46
CHAPTER V. SUPPLEMENTARY PROVISIONS.....	46
§65. Public Opinion Gathering.....	47
[Annex 1] Guidelines for Calculation of Member Margins and Margin Rates.....	50
[Annex 2] Calculation Methods of Disposal Period and Proportions of Trade Execution Days for Stocks Listed on Stock Marke, Etc.....	54
[Annex 3] Classification of Listed Debt Securities	55
[Annex 4] Classification of Collective Investment Securities of ETF Investment Companies, Exchange Traded Notes and Beneficiary Certificates Listed on Stock Market	58
[Annex 5] Methods for Calculation and Inspection of Assessment Rates of Stocks Listed on Stock Market, Etc.	60
[Annex 6] Methods for Calculation and Inspection of Assessment Rates of Listed Debt Securities, Etc.	62
[Annex: Form No. 1] Request for Deposit/Withdrawal of Collateral for Settlement Expediency – Cash	64
[Annex: Form No. 2] Request for Deposit/Withdrawal of Collateral for Settlement Expediency-KTBs, Etc.	66
[Annex: Form No. 3] Request for Deposit/Withdrawal of Member Margin - Cash	67
[Annex: Form No. 4] Request for Deposit/Withdrawal of Member Margin - Foreign Currency	68
[Annex: Form No. 5] Request for Deposit/Withdrawal of Member Margin - Substitute Securities	69

CHAPTER I. COMMON PROVISIONS

§1. Purpose

The purpose of these Enforcement Rules is to stipulate the matters necessary for the enforcement of the Securities Market Clearing and Settlement Business Regulation.

§2. Definitions

The meanings of terms used in these Enforcement Rules shall be in accordance with the provisions of the Securities Market Clearing and Settlement Business Regulation (hereinafter referred to as the “Regulation”).

CHAPTER II. CLEARING AND SETTLEMENT IN SECURITIES MARKET

Section 1. General Provisions

§3. Exclusions from Application of Clearing and Settlement to Securities Finance Companies, etc.

(1) “Cases stipulated in the Enforcement Rules” in the proviso to main sentence of [§5(1)] of the Regulation shall refer to cases where, as a case that a securities finance company fails to complete its settlement obligation, the Exchange deems it necessary to ensure the stability of clearing and settlement.

(2) Pursuant to [§5(1)2] of the Regulation, transactions financed by a securities finance company include transactions conducted by clearing members to repay funds or securities borrowed from the securities finance company.

§4. Clearing Member’s Request for Correction of Error Trades in Transactions Financed by Securities Finance Company, etc.

(1) Pursuant to [§5(5)] of the Regulation, the request for correction of error trades in transactions financed by a securities finance company and the contribution of the joint compensation fund shall be made by the clearing member who is the counterparty with whom a delegation agreement is deemed to have been established with the securities finance company in accordance with the latter part of [§5(1)2] of the Regulation.

(2) In the case where the Exchange uses the joint compensation fund for the payment amount that a securities finance company has not made (hereinafter referred to as “unsettled amount” in this article), the joint compensation fund usage amount by clearing

member shall be the amount calculated by proportionally allocating the variable reserve for transactions financed by securities finance company (hereinafter referred to as “variable reserve for transactions financed by securities finance company”) accumulated by each clearing member as of the date of using the joint compensation fund (any amount less than KRW 10,000 shall be discarded). In this case, if the total amount of the calculated amount is less than the unsettled amount, clearing members shall add KRW 10,000 each in the order of the member with the largest amount discarded because it is less than KRW 10,000 (if discarded amounts are the same, they shall be in the order of the largest variable reserve) until the unsettled amount is reached.

(3) If the total amount of variable reserve for transactions financed by securities finance company for each member calculated in accordance with paragraph (2) is less than the unsettled amount, the amount used by each clearing member for the corresponding shortfall shall be the amount (any amount less than KRW 10,000 shall be discarded) calculated in proportion from the amount produced by subtracting the variable reserve for transactions financed by securities finance company of the relevant clearing member from the variable reserve of the securities market joint compensation fund contributed by each clearing member as of the date of use. In this case, the latter part of paragraph (2) shall apply.

§5. Details of Target Trades

(1) “Case stipulated in the Enforcement Rules” in [§6(1)2] of the Regulation shall refer to the case where the settlement date of a trade noted in paragraph (2)1 is the reserve accumulation deadline set by the Bank of Korea (if that day is a holiday, it refers to the previous trading day).

(2) “Cases stipulated in the Enforcement Rules” in [§6(2)] of the Regulation shall refer to any of the following subparagraphs:

1. Case of trades at the KRX KTB noted in [§55(3)] of the KOSPI Market Business Regulations; and

2. Case of trades of debt securities other than those in subparagraph 1.

(3) Trades noted in paragraph (2)1 shall be T+1 settlement trades, and those noted in paragraph (2)2 and buy-in trades by the Exchange noted in [§22] of the Regulation shall settled on the same day as the trade date.

§6. Notification of Transaction Details of Multilateral Trading Company

Pursuant to [§7(2)] of the Regulation, the transaction details to be notified by the multilateral trading company shall be as follows:

1. Name of trading participant;
2. Name of issue;
3. Executed quantity and price;
4. Sell or buy trade;
5. In the case of correcting error trades, details of such correction;
6. In the case of resolving large-scale error trades, the fact of the relevant relief and details of settlement price change; and
7. Matters necessary for clearing and settlement of transactions.

Section 2. Methods of Clearing and Settlement in Securities Market

§7. Notification of Settlement Details of Transactions Financed by Securities Finance Company

Pursuant to [§9(4)] of the Regulation, any clearing member (excluding the securities finance company) who conducted the trades financed by securities finance companies shall notify the Exchange the settlement details specified in each of the following subparagraphs subsequent to conducting the trades financed by securities finance companies on the day the trade is conducted. In such cases, when there is a change of settlement details as a result of the correction of transaction error, the settlement details of the trade financed by securities finance companies shall be notified to the Exchange by the day following the trading day.

1. Trade execution date and settlement date;
2. Issue name;
3. Settlement details noted in each of the following items:
 - (a) In the case of sale to be settled with the borrowed securities (hereinafter referred to as “the selling trade through securities lending”) : quantity and amount of sale
 - (b) In the case of purchase conducted to payback the securities borrowed: purchased quantity and sale amount at the time of selling trade through securities lending of the relevant securities
 - (c) In the case of purchase to be settled with the cash loan (hereinafter referred to as “the buying trade through margin loan”): purchased quantity and amount borrowed (referring to the amount obtained by subtracting the amount of the collateral noted

in Article 4-25 of the Regulation on Financial Investment Business, which has been appropriated for the purchase amount, from the purchasing amount)

(d) In the case of sale conducted to payback the margin loan: sale quantity and the amount borrowed at the time of the buying trade through margin loan of the relevant securities.

4. Matters that are deemed necessary for the clearing and settlement of the trade financed by securities finance company.

§8. Scope of Stocks, etc. and Method of Determining Settlement Securities and Settlement Payments

(1) [Deleted on April 17, 2026]

(2) The securities and cash amounts per trade subject to netting noted in each subparagraph of [§9(1)] of the Regulation, which a clearing member delivers to or receives from the Exchange, shall be calculated and determined according to each of the following methods:

1. In the case of securities, the quantity determined by netting the total quantity required to deliver and total quantity entitled to receive per issue for the relevant clearing member; and

2. In the case of cash, the amount determined by first netting the total amount required to pay and the total amount entitled to receive for the relevant clearing member per the KOSPI Market, KOSDAQ Market and KONEX Market, and then by netting the amounts between the KOSPI Market, KOSDAQ Market and KONEX Market. Provided that, in the case of the amounts subject to netting noted in [§9(1)2] of the Regulation (excluding the amount for the issue settled by making up difference), the amount shall be determined by netting the total amount obliged to deliver and the total amount entitled to receive per issue by the relevant member, and in case of amounts subject to netting for the trade noted in [§9(1)4] of the Regulation, the amount shall be determined by netting the total amount obliged to pay and the total amount entitled to receive per currency that is denominated on debt securities at the time of issuance by the relevant member.

(3) In the case of determining the securities and cash amounts pursuant to paragraph (2), for a clearing member to whom two (2) or more member identification numbers have been issued, such securities and cash amounts shall be determined for each member identification number.

(4) When calculating the amount of settlement payment pursuant to paragraph (2), the amount less than KRW 1 shall be discarded.

(5) Notwithstanding paragraph (2), when it is deemed necessary, the Exchange may

determine the settlement securities and settlement amount by the method decided for each case. In such cases, the matters such as the settlement date may be specified differently.

§9. Calculation Method of Settlement Securities and Settlement Amounts for Trades in KRX KTB

(1) Pursuant to [§9(4)] of the Regulation, in cases where the number (referring to the par value; the same hereinafter in this Article) of settlement securities subject to netting noted in [§9(1)2] of the Regulation exceeds KRW 10 billion, the amount shall be determined by splitting it less than KRW 10 billion.

(2) The amount of settlement payment for settlement securities ascertained pursuant to paragraph (1) shall be determined according to method noted in each of the following subparagraphs:

1. Settlement payment in cases where the number of settlement securities is KRW 10 billion:

The amount shall be determined first by multiplying ten (10) billion by the quantity obtained by dividing total settlement payment of the relevant issue by total number of settlement securities. In such cases, if the result has an amount less than KRW 10,000, amounts less than KRW 5,000 shall be discarded, and amounts of KRW 5,000 or more but less than KRW 10,000 shall be rounded up to KRW 10,000.

2. Settlement payment in cases where the number of settlement securities is less than KRW 10 billion:

The amount shall be determined by subtracting the sum of settlement payment noted in subparagraph 1 from the total settlement payment of the relevant issue. In such cases, if the total settlement payment of the relevant issue is multiples of KRW 10 billion, the settlement payment determined very last shall be deemed to be less than KRW 10 billion.

§10. Notification Time of Final Settlement Securities and Settlement Amounts to Members, Korea Securities Depository and Bank of Korea, etc.

(1) The settlement details notified to the members pursuant [§10(4)] of the Regulation shall be each of the followings:

1. The trade execution date and settlement date;

2. The quantity of settlement security finalized by netting per issue for the relevant member. In such cases, the quantity resulted from customer account transactions and the quantity resulted from self-account transactions shall be separately indicated, and the quantity resulted from the customer account transactions noted in subparagraphs 2 through 4 of [§9(1)] of the Regulation shall be separately indicated into the quantity resulted from the trust and the quantity resulted from other than the trust;

3. The amount of settlement payment netted and finalized for the relevant member. Provided that, in the case of settlement payments (excluding the settlement payment for the net cash settlement issue) subject to netting noted in [§9(1)2] of the Regulation, it shall be the settlement payment finalized by netting per issue for the relevant member; and

4. Other matters that are necessary for the settlement in the securities market.

(2) When the details of settlement (for the member who made a transaction error, the details obtained after making the correction shall be included: the same hereinafter in this Article) have been determined, the Exchange shall notify the relevant details to the member without delay. In such cases, apart from the method noted in [§10(3)] of the Regulation, the Exchange may transmit the settlement details through the clearing and settlement terminal device (referring to the member's terminal device that is connected to the clearing and settlement system of the Exchange with the approval of the Exchange for the purpose of accomplishing the tasks related to the clearing and settlement of the securities market) of the member.

(3) The timing for the Exchange to notify the settlement details to the KSD and the Bank of Korea shall be each of the following subparagraphs:

1. To the KSD: Before and after the time noted in each of following items:

(a) In the case of trades subject to netting noted in [§9(1)1] of the Regulation: 19:00 hour on the latest trading day before the settlement date; and

(b) In the case of trades subject to netting noted in [§9(1)2 through 4] of the Regulation: At the time of confirmation of the settlement details.

2. To the Bank of Korea: Before and after the time noted in each of following items:

(a) In the case of trades subject to netting noted in [§9(1)1] of the Regulation: 15:30 hour on the latest trading day before the settlement date and 09:00 hour on the settlement date; and

(b) In the case of trades subject to netting noted in [§9(1)2] of the Regulation: 17:00 hour on the latest trading day before the settlement date.

(4) Members shall be deemed to have confirmed the settlement details when they are notified of them by the Exchange.

§11. Request for Change of Settlement Deadline

In cases where the Exchange deems necessary for the market management as a result of falling under any of the following subparagraphs, the Exchange may request the Korea

Securities Depository to change the settlement deadline:

1. Case where the trading hours are changed;
2. Case where the number of stocks, etc. that a clearing member is expected to fail to deliver, or the appraisal value obtained by multiplying that number by the closing price of the relevant issue deems to be excessive; and
3. Case where due to a system failure or other reasons, it deems difficult to perform normal clearing and settlement operations.

§12. Method of Securities Delivery, etc.

(1) “Methods specified in the Enforcement Rules” in [§11(2)1(a)] of the Regulation shall refer to the method of transferring the issues delivered into the securities settlement account to the security-receiving clearing member (referring to the clearing member who has made the required delivery of settlement securities or the required payment of settlement amounts or the clearing member whose maximum quantity of receivable issue exceeds appraisal value of settlement securities: the same hereinafter in this Article) in the order noted in each of the following subparagraphs. In such cases, in the case of the same issue, the transfer for customer-account trades shall take priority over the transfer for self-account trades and, except for the case of transferring at the settlement deadline, the securities shall be transferred only in cases where the quantity deposited in the securities settlement account is higher than the quantity due to the security-receiving clearing member.

1. Issues falling under collective investment securities of ETF collective investment vehicle;
2. Issues with a higher appraisal value of settlement security required to be settled through the securities settlement account; and
3. Issues with a higher quantity of settlement security required to be settled through the securities settlement account.

(2) Notwithstanding paragraph (1), in cases where a security-receiving clearing member requests the transfer of relevant issue from 10:00 hour to 15:30 hour because of falling under any of the following subparagraphs, the transfer to the relevant security-receiving clearing member shall be given the priority:

1. Where it is necessary to resolve the settlement impasse (referring to a temporary settlement failure caused by the interrelation of the securities market settlement with other settlement outside the securities market: the same hereinafter);
2. Where there is a need for a constituent issue of the index that the relevant security tracks for the additional issuance of collective investment security of ETF collective

investment vehicle;

3. Where the relevant security is needed to request the redemption of collective investment security of ETF collective investment vehicle;

4. Where the relevant security is needed to payback borrowed securities; and

5. In addition, as a case equivalent to subparagraphs 1 through 4, the preferential transfer of security is deemed necessary.

(3) Notwithstanding paragraphs (1) and (2), an issue whose settlement has been deferred pursuant to [§74-2] of the Regulation shall be transferred to the clearing member who did not receive it on previous settlement date with priority over other issues. In such cases, if there are more than two (2) such issues, the transfer of issue with a longer undelivered period shall take priority, and in case of the same issue, the transfer to the clearing member with a longer undelivered period shall take priority, and in case of clearing members with the same undelivered period, the transfer for the customer-account transaction shall take priority over the transfer for self-account transaction.

(4) “Order stipulated in the Enforcement Rules” in the former part of [§11(2)2(a)] of the Regulation shall refer to the order noted in each of the following subparagraphs:

1. Clearing member who has delivered the settlement payments earlier;

2. Clearing member with a larger amount of delivered settlement payments; and

3. Clearing member with a larger quantity of settlement securities related to the delivered settlement payments.

(5) “Order stipulated in the Enforcement Rules” noted in the former part of [§11(2)2(b)] of the Regulation shall refer to the order noted in each of the following subparagraphs:

1. Clearing member who has delivered the settlement payments earlier;

2. Clearing member with a larger amount of settlement security delivered settlement payments; and

3. Clearing member with a larger quantity of delivered settlement securities.

(6) “Hour specified in the Enforcement Rules” noted in the latter part of [§11(2)2(b)] of the Regulation shall refer to 14:00 hour on the settlement date.

(7) “Methods stipulated in the Enforcement Rules” in [§11(2)3(a)] of the Regulation shall refer to the method noted in each of the following subparagraphs:

1. Case of an issue for which all clearing members obliged to deliver have fully delivered the settlement securities into the securities settlement account (hereinafter

referred to as the “fully-paid issue”): When the relevant delivery has been completed (At 15:30 hour in cases where the delivery has been completed before 15:30 hour on the settlement date), the securities of the fully-paid issue is transferred to the security-receiving clearing member who has completed the full payment of settlement amount; and

2. Case of an issue for which all or a part of clearing members obliged to deliver has not completed the delivery into the securities settlement account (hereinafter referred to as the “not-fully paid issue”): When a security-receiving clearing member who has made the full payment of its settlement amount requests for the delivery of the not-fully delivered issue after 16:00 hours in order to resolve the settlement impasse, the securities of the relevant not-fully paid issue shall be delivered to the relevant security-receiving clearing member.

(8) In cases where there are two (2) or more fully-paid issues, the transfer shall be made in the order noted in each of the following subparagraphs:

1. Issues with a larger appraisal amount to be settled through securities settlement account;
2. Issues with a larger quantity to be settled through the securities settlement account; and
3. Issues for which the full delivery has been made earliest.

(9) In the case of transfer pursuant to paragraph (2) and paragraph (7)2, the KSD shall notify the details of request and result of processing the request to the Exchange without delay each time when such request is processed.

§13. Calculation Method of Maximum Quantity of Receivable Security, etc.

(1) The maximum quantity of receivable security noted in the former part of the part other than each paragraph of [§12(1)] shall be the amount resulting from subtracting the amount noted in subparagraph 5 from the sum of the amounts noted in subparagraphs 1 through 4 per issue subject to netting. In such cases, the entire amount noted in subparagraph 3 shall be included when calculating the maximum quantity of receivable security for each issue subject to netting:

1. Settlement payment that the relevant clearing member has paid into the payment settlement account;
2. Sum of the appraisal amount of settlement securities that the relevant clearing member has delivered into the securities settlement account;
3. As a fixed ratio of contribution that the relevant member made to the joint compensation fund and the collateral that the relevant member deposited with the Exchange for the efficient settlement (referred to the “collateral for settlement

expediency” hereinafter in this Article), the amount that the Exchange notified to the KSD in advance;

4. The deferred settlement payment paid pursuant to [§21(1)] of the Regulation; and

5. Sum of appraisal amounts of settlement securities that the relevant clearing member has received.

(2) “Appraisal amount of settlement securities” in [§12(1) and (8)] and in paragraph (1) of this Article shall refer to the amount produced by multiplying the closing price of the day before the settlement date by the quantity of settlement security, and the “fixed ratio” in paragraph (1)3 shall be 100%.

(3) When it deems necessary, the Exchange may change the fixed ratio noted in paragraph (2). In such cases, the Exchange shall notify such fact to the KSD in advance.

(4) Clearing members may deposit cash, treasury bonds or monetary stabilization bonds as the collateral for settlement expediency, and once the settlement securities obliged to deliver are fully delivered, clearing members may withdraw the deposited collateral. In such cases, the deposit or withdrawal methods shall be as follows:

1. In the case of cash: The deposit shall be made by transferring the cash into the account of Exchange that the Exchange has notified in advance and the withdrawal shall be made by the Exchange transferring the cash to the account under the name of clearing member that the clearing member notified the Exchange in advance. In such cases, the Exchange shall manage the cash deposited separately from its own assets and the loss and income generated from the cash shall be credited to the collateral for settlement expediency of the clearing member.

2. In the case of treasury bonds and monetary stabilization bonds: The deposit shall be made in such manner that the Exchange establishes a right of pledge on treasury bonds and monetary stabilization bonds, as prescribed in the Act on Electronic Registration of Stocks, Bonds, Etc. (hereinafter referred to as “the Electronic Securities Act”), which are electronically registered in the proprietary account books of account management institutions, etc. of clearing members opened in KSD pursuant to Article 23(2) of the Electronic Securities Act, and the withdrawal shall be made by way of deleting the relevant right of pledge. In such cases, the appraisal value of treasury bonds or monetary stabilization bonds shall be the substitute prices under [§48].

(5) When intending to deposit or withdraw the collateral for settlement expediency pursuant to paragraph (4), the clearing member shall submit the request in accordance with [Annex: Form No. 1] or [Annex: Form No. 2] to the Exchange.

(6) In cases where the clearing member deposits or withdraws the collateral for settlement expediency according to paragraph (4), the Exchange shall notify such details to the KSD without delay.

§14. Requirements for Clearing Members and Settlement Banks

(1) “A clearing member meeting the requirements specified in the Enforcement Rules” in the proviso to [§12(3)] of the Regulation shall refer to a clearing member who is able to utilize the financial settlement net that the Bank of Korea operates to handle the tasks related to fund transfer.

(2) Pursuant to [§12(5)] of the Regulation, the banks that are eligible for opening cash settlement accounts shall be designated from among the banks that meet all the requirements in each of the following subparagraphs:

1. The common equity capital ratio, the core capital ratio and the total capital ratio prescribed in Article 26(1)1 of the Regulations on Supervision of Banking Business shall be at least 1.2 times the minimum observance ratio prescribed in [Appendix 2-9] of the same Regulations. Provided that, for the branches of foreign banks (referring to the branches of foreign banks authorized pursuant to Article 58(1) of the Banking Act) that were designated as clearing banks by the Minister of Strategy and Finance pursuant to Article 10-21(1) of the Foreign Exchange Transaction Regulation, the equity capital ratio [referring to the ratio of equity capital to risk-weighted assets provided in Article 26 of the former Regulation on Supervision of Banking Business (referring to the same Regulation before having been amended by the Financial Services Commission Announcement #2013-22)] shall be 10% or higher;

2. The liquidity coverage ratio under Article 26(1)2 of the Regulations on Supervision of Banking Business shall be 1.1 times or higher; and

3. The lowest of the credit ratings issued by the qualified external credit rating agencies designated by the Financial Supervisory Service shall be “AA” or higher.

(3) The Exchange shall request the Korea Securities Depository to terminate the designation within fourteen (14) days from the date that the Exchange becomes aware of the fact that a bank designated pursuant to paragraph (2) falls under any of the following subparagraphs. Provided that, in cases where it is deemed necessary in consideration of market situation and financial conditions of the relevant bank, etc., the Exchange may postpone the termination of designation of the settlement bank for up to two (2) months, and where the reason for termination is not resolved by the end of the grace period, the Exchange shall request the Korea Securities Depository to terminate the designation within fourteen (14) days from the end of the grace period.

1. Case where it fails to reach the minimum capital ratio prescribed in Article 26(1)1 of the Regulations on Supervision of Banking Business or the liquidity coverage ratio prescribed in Article 26(1)2 of the same Regulations;

2. Case where it fails to meet the credit rating requirement noted in paragraph (2)3;

3. Case where, pursuant to Article 34 through Article 36 of the Regulations on Supervision of Banking Business, the Financial Services Commission has

recommended the management improvement, requested the management improvement or ordered the management improvement; or

4. Case where, pursuant to Article 38 of the Regulations on Supervision of Banking Business, the Financial Services Commission has taken an emergency measure.

§15. Notification of Fulfillment and Non-fulfillment of Settlement by Korea Securities Depository

“Time specified in the Enforcement Rules” in the part other than each subparagraph in [§13(1)] of the Regulation shall refer to 09:00 hour on the settlement date.

§16. Securities Eligible for Financing Settlement Fund at KRX KTB Market

“Securities specified in the Enforcement Rules” in [§14(1)] of the Regulation shall refer to the securities under any of the following subparagraphs:

1. Treasury bonds;
2. Foreign exchange stabilization fund bonds;
3. Monetary stabilization bonds; and
4. Deposit insurance fund bonds for which the repayment of principal is guaranteed by the government.

§17. Financing and Repayment of Settlement Fund at KRX KTB Market

(1) Pursuant to [§14(2)] of the Regulation, if there is a clearing member obliged to deliver the settlement securities falling under any subparagraphs of [§16] (hereinafter referred to as the “security-delivering clearing member” in this Article) has the securities that can be delivered into the securities settlement account, the Korea Securities Depository shall notify such details to the Exchange.

(2) Upon receiving the notification noted in paragraph (1), the Exchange may request the Bank of Korea to trade Repo of the issue whose settlement payment may be paid with the sum of the amount delivered into the payment settlement account and the repurchase fund (referring to the fund raised from the Bank of Korea by way of trading Repo; the same hereinafter in this Article) from 09:00 hours to 16:00 hours of the settlement date.

(3) When receiving the execution details of Repo trade from the Bank of Korea subsequent to the request noted in paragraph (2), the Exchange shall transfer the relevant security to the Bank of Korea.

(4) Once the security has been transferred according to paragraph (3) and the repurchase fund for transferred securities is received the Exchange finances the repurchase fund by way of paying the settlement payment to the security-delivering clearing member with

the repurchase fund received.

(5) When the repurchase fund was financed pursuant to paragraph (4), the Exchange shall repay the fund to the Bank of Korea by 17:15 hour of the day.

(6) The financing and repaying the repurchase fund pursuant to paragraphs (4) and (5) shall be accomplished by way of book transfer between the account of Bank of Korea and the securities settlement account and the payment settlement account. In such cases, the delivery and receipt of security and repurchase fund with the Bank of Korea using the settlement accounts shall be deemed to have the same effect as the delivery and receipt of security and repurchase fund with the Bank of Korea using the Exchange's own account.

(7) In cases where the transfer pursuant to paragraph (6) takes place, the Korea Securities Depository shall notify the details of transaction to the Exchange.

§18. Haircut of RP Trade and Calculation of Market Value

Matters related to the haircut ratio and the calculation of market value of RP trade shall be governed as stipulated in [§90] of the Enforcement Rules of the KOSPI Market Business Regulation.

§19. Appraisal of Purchased Bonds and Purchase Price of Individual Repo Agreement

(1) The appraisal of purchased bonds and purchase price noted in [§17(2)1] of the Regulation shall be carried out by way of calculating the appraisal amount in accordance with each of the following formulas and then calculating the amount of net exposures for an individual Repo agreement of each party of a Repo trade:

1. Appraisal amount of purchased bonds: $\text{Total face value of purchased bond} \times \text{Market value} / 10,000$

2. Appraisal amount for purchase price: $\{\text{Purchase price} \times (1 + \text{Repo rate} \times \text{Number of days elapsed} / 365)\} \times (1 + \text{Haircut})$

(2) The amount of net exposures for an individual Repo agreement for each party of a Repo trade shall be calculated in accordance with each of the following formulas. In this case, if the calculated amount is negative, it shall be set to 0:

1. Amount of net exposure of seller: An amount calculated by subtracting the appraisal amount for purchase price from the appraisal amount of purchased.

2. Amount of net exposure of buyer: An amount calculated by subtracting the appraisal amount of purchased bonds from the appraisal amount for purchase price.

§20. Appraisal of Balance of Additional Margin of Individual Repo Agreement

(1) The appraisal of the balance of additional margin of the seller and buyer noted in [§17(2)2] of the Regulation shall be carried out by way of calculating the appraisal amounts per margin maintenance bonds and cash margin, respectively, in accordance with each of the following subparagraphs and then calculating net balance of additional margin for an individual Repo agreement of each party of a Repo trade:

1. Appraisal amount of margin maintenance bonds: An amount calculated by applying [§19(1)1]; and
2. Appraisal amount of cash margin: The sum of the cash margin and the amount of interest calculated by applying an applicable interest rate for the number of days elapsed since the payment date of such cash margin.

(2) The net balance of additional margin for an individual Repo agreement of each party of a Repo trade shall be calculated in accordance with each of the following subparagraphs. In this case, the latter part of the part other than each subparagraph in [§19(2)] shall apply mutandis mutatis:

1. Net balance of additional margin of seller: The amount calculated by subtracting the sum of the appraisal amounts of the additional margins paid by the seller to the buyer from the sum of the appraisal amounts of the additional margins received by the seller from the buyer; and
2. Net balance of additional margin of buyer: The amount calculated by subtracting the sum of the appraisal amounts of the additional margins paid by the buyer to the seller from the sum of the appraisal amounts of the additional margins received by the buyer from the seller.

(3) The applicable interest rate noted in paragraph (1)2 (hereinafter referred to as the “applicable interest”) shall be the repurchase interest rate of the relevant Repo trade.

§21. Calculation of Net Exposure for All Trades of Identical Both Parties

(1) The amount of net exposure noted in [§17(2)3] of the Regulation shall be calculated in accordance with the method in each of the following subparagraphs:

1. In the case of one party of trade agreement: An amount calculated by subtracting the sum of net balance of additional margin noted in [§20(2)] from the total amount obtained by adding the sum of the net exposures for individual Repo agreement noted in [§19(2)] of one party to the trade agreement to the sum of the amounts not returned among interest, etc. (hereinafter referred to as “profit”) noted in [§16] of the Regulation.
2. In the case of the counterparty of trade agreement: An amount calculated by

subtracting the sum of net balance of additional margin noted in [§20(2)] from the total amount obtained by adding the sum of the net exposures for individual Repo agreement noted in [§19(2)] of one party to the trade agreement to the sum of the amounts not returned among profits.

3. The amount of net exposure of one party to the trade shall be calculated by subtracting the amount in subparagraph 2 from the amount in subparagraph 1 (if it is negative, it shall be set to 0).

4. The amount of net exposure of the counterparty to the trade shall be calculated by subtracting the amount in subparagraph 1 from the amount in subparagraph 2 (if it is negative, it shall be set to 0).

(2) The profit shall be calculated by way of adding the interest calculated by applying the applicable interest rate for the elapsed days since the payment date of such profit.

§22. Notification of Net Exposure of Repo trade, etc.

(1) Pursuant to [§17(5)] of the Regulation, the Exchange shall notify the amount of net exposure to both the one party and the counterparty of the trade agreement by 10:00 hour of the day, and the counterparty who receives such a notification shall make a choice of either margin maintenance bond or cash margin, and notify the Exchange of its decision by 13:30 hour of the day.

(2) When collecting the margin maintenance bonds pursuant to [§17(3)] of the Regulation, the Exchange shall collect a specific issue that the counterparty who has received the request for net exposure selected from among the eligible bonds under [§61] of the KOSPI Market Business Regulation, for each time of collection.

(3) Notwithstanding [§17(3)] of the Regulation, when the amount of net exposure of one party for all trades with an identical counterparty on each trading day does not exceeds an amount obtained by multiplying the sum of daily repurchase prices marked to market (referring to the repurchase price calculated for the mark-to-market daily) for each trade by the exemption ratio of margin maintenance obligation, the Exchange shall not collect any additional margin.

(4) The exemption ratio of margin maintenance obligation noted in paragraph (3) shall be 2%.

(5) Pursuant to [§17(4)] of the Regulation, the Exchange shall hand over, on the day, the additional margin collected to the one party to whom the net exposure resulted. In this case, in the case where margin maintenance bonds are handed over, [§16] of the Regulation shall apply *mutatis mutandis* to the return of profits accrued from the relevant margin maintenance bonds (including the sales proceeds of the relevant bonds) during the period from the delivery day to the repurchase date.

§23. Return of Additional Margin of Repo Trade

The return of additional margin under [§18(3)] of the Regulation shall be accomplished according to the method in each of the following subparagraphs:

1. In the case of margin maintenance bonds: The sum of (a) the margin maintenance bonds, (b) the profit not returned one party, from among the profits received by the counterparty during a period from the payment date of such margin maintenance bonds to the repurchase date, and (c) the accrued interest, which is calculated by applying the applicable interest rate to such profits for a period from the income payment date to the repurchase date, shall be returned.
2. In the case of cash margin: The sum of the cash margins and the accrued interest, which is calculated by applying the applicable interest rate to such cash margins for a period from the payment date of such cash margin to the repurchase date, shall be returned.

Section 3. Special Cases of Securities Settlement

§24. Range of Issues Settled on Record Date and Securities Precluded from Non-delivery

(1) The issue settled on the record date noted in [§19(1)3] of the Regulation shall refer to an issue that is settled on the date falling under any of the following subparagraphs (if the relevant date is a market holiday, it shall be the immediately preceding trading day):

1. The day before the record date for determining the shareholders eligible for exercising the rights to dividend, etc., or the cut-off date for changing shareholder names in the shareholder register; and
2. In cases where the number of shares held by shareholders changes for such reasons as reduction of capital, the base date for determination of the shareholder.

(2) Whether or not an issue corresponds to the issue settled on the record date or cut-off date and the type thereof shall be based on the information notified by the Korea Securities Depository.

(3) The issue precluded from non-delivery noted in [§19(3)] of the Regulation shall be an issue falling under any of the following subparagraphs:

1. Any issue settled on record date or cut-off date noted in each subparagraph of paragraph (1);
2. Collective investment securities of ETF collective investment vehicles; and

3. Issue scheduled to be delisted.

§25. Calculation Method of Settlement Securities and Settlement Payment in Case of Non-delivery and Non-receipt of Stocks, etc.

Pursuant to [§20(3)] of the Regulation, in cases where the settlement is deferred, the securities and payments that the member delivers to or receives from the Exchange shall be calculated and determined according to the method noted in each of the following subparagraphs:

1. In the case of securities: It shall be determined by netting the quantity produced in subparagraph 1(a) and the quantity produced in subparagraph 1(b)

- (a) The sum of the quantity not delivered on the relevant settlement date and the quantity determined according to [§8(2)1] that is delivered on the next settlement date; and

- (b) The sum of the quantity not received on the relevant settlement date and the quantity determined according to [§8(2)1] that is received on the next settlement date.

2. In the case of cash payment: It shall be determined by netting the amount produced in subparagraph 2(a) and amount produced in subparagraph 2(b)

- (a) The sum of the deferred settlement payment delivered on the relevant settlement date and the amount determined according to [§8(2)2] that is received on the next settlement date; and

- (b) The sum of the deferred settlement payment received on the relevant settlement date and the amount determined according to [§8(2)2] that is delivered on the next settlement date.

§26. Calculation Methods of Deferred Settlement Payment, etc.

(1) Pursuant to [§21(2)] of the Regulation, the amount of deferred settlement payment shall be the amount determined by multiplying the quantity per issue that the clearing member has not delivered to or received from the Exchange by the settlement deadline by the closing price (it shall be the base price if there is no closing price on the settlement date, and it shall be the closing price of most recent trading day if no base price is available).

(2) The clearing member obliged to deliver the deferred settlement payment shall deliver the amount into the payment settlement account (excluding the account opened at the Bank of Korea) by 17:00 hour (in case of changing the settlement deadline, the time set separately by the Exchange shall be used, taking into account the changed settlement deadline: the same hereinafter in this Article), and the Exchange shall handover the deferred settlement payment to the clearing member to who it is due after 17:00 hour. In such cases, [§12(4)] of the Regulation shall apply *mutatis mutandis* thereto.

§27. Buy-in and Delivery by Exchange of Undelivered Stocks, etc.

(1) “Issue stipulated in the Enforcement Rules” in [§22(1)] of the Regulation shall refer to an issue falling under any of the following subparagraphs:

1. The issue that the clearing member has not delivered by thirty (30) minutes before the market closing time on the next day (hereinafter referred to “purchase and delivery date” in this Article) of the third day counting from the settlement date. In this case, the elapsed days shall be counted from the trading day; and
2. The issue settled on record date or cut-off date that the clearing member has not delivered by fifty (50) minutes before the closing time of after-hours session on the settlement date.

(2) “Method stipulated in the Enforcement Rules” in [§22(2)1] of the Regulation shall refer to the method under each of the following subparagraphs:

1. Determination of the quantity of bid quotations: The quantity is determined in accordance with the following items:

- (a) Case of an issue falling under paragraph (1)1: The smaller quantities between (i) the quantity not delivered continually from the settlement date to thirty (30) minutes before the market closing on the purchase and delivery date and (ii) the quantity equivalent to 25% of average daily trading volume for one (1) month retroactive from the day before the purchase and delivery date.
- (b) Case of an issue falling under paragraph (1)2: the quantity not delivered by fifty (50) minutes before the closing time of off-hours session on the settlement date.

2. The quotation shall be placed at the price noted in paragraph (4)3(b) for each of customer account transaction and self-account transaction per non-delivery period for the quantity determined in accordance with subparagraph 1. In this case, the quotation shall be placed in the order noted in each of the following items:

- (a) Quotation for issue with a longer non-delivery period;
- (b) Quotation with a larger quantity;
- (c) Quotation placed for self-account transaction; and
- (d) Quotation placed for customer-account transition.

(3) Each clearing member shall open the account for buy-in by customer account transaction and self-account transaction in advance and notify it to the Exchange so that the Exchange can place the bid quotation for buy-in pursuant to paragraph (2), and when the quotation has been placed pursuant to paragraph (2), the Exchange shall notify the details of the quotation to the relevant clearing member.

(4) “Method stipulated in the Enforcement Rules” in [§22(2)2] of the Regulation shall refer to the method in each of the following subparagraphs:

1. The selling member shall place an ask quotation only when receiving an entrustment of ask order from a customer (excluding the order related to margin trading);

2. The ask quotation shall be placed during the time under each of the following items:

- (a) Case of an issue falling under paragraph (1)1: For ten (10) minutes counting from five (5) minutes after the market closing time; and

- (b) Case of an issue falling under paragraph (1)2: For ten (10) minutes counting from ten (10) minutes before the closing time of the off-hours session.

3. The ask quotation shall be place at a price designated within the range of item (a) and item (b):

- (a) Closing price (if the closing price is not consistent with the quotation price unit, it shall be the price closest to that price among the prices higher than that price and consistent with the quotation price unit; hereinafter the same in this item) of the day. In such cases, if the closing price of the day is not available, it shall be the base price and if the base price is not available, it shall be the closing price of the most recent trading day; and

- (b) Price that is 15/100 higher than the closing price of the day. In such cases, if that price is not consistent with the quotation price unit, it shall be the price that is the closest to the quotation price unit toward the closing price.

(5) Pursuant to [§22(5)] of the Regulation, the clearing member shall deliver the security or payment into the settlement account (in case of payments, the account opened with the Bank of Korea shall be excluded) by the deadline (when the trading hours of regular session or off-hours session is changed, it shall be the deadline determined separately by taking into account the change of trading hours) noted in each of the following subparagraphs. In such cases, [§75-2(4)] of the Regulation shall apply *mutatis mutandis* thereto:

1. Case of an issue falling under paragraph (1)1: 15:55 on the settlement date; and

2. Case of an issue falling under paragraph (1)2: 18:30 on the settlement date.

(6) Pursuant to [§22(5)] of the Regulation, in the case of falling under any of the following subparagraphs, the Exchange may not carry out buy-in:

1. Where the relevant issue is a collective investment security of ETF collective investment vehicle;

2. Where the relevant issue is an issue to be delisted; and

3. In addition, when it deems that it is difficult to carry out buy-in or there is no need

to carry out buy-in.

(7) Pursuant to [§22(5)] of the Regulation, the Exchange shall notify the details noted in each of the following subparagraphs to the members:

1. In the case of falling under the requirements in paragraph (1), the relevant details; and
2. The result of buy-in.

§28. Methods of Obtaining Consent of Member Receiving Securities Delivery Bill, etc.

(1) Pursuant to [§23(4)] of the Regulation, the Exchange shall obtain the consent of the clearing member who will accept the securities delivery bill by obtaining the agreement on the issue and quantity. Provided that, with respect to the quantity for which the consent has not been obtained, the Exchange shall allocate the quantity per issue to clearing members that it selected taking into account the receipt quantity of the relevant issue per clearing member, and in this case, it shall be deemed that the clearing members to whom the quantity was allocated have given their consent.

(2) When the securities delivery bill has been delivered to the clearing member, it shall be deemed that the Exchange has handed over the security delivery agreement that states the intent of “promising to deliver the security for which the security delivery bill was issued by assuming the obligations pursuant to [§8] of the Regulation”.

(3) When it is deemed necessary in such cases as the sudden changes in economic conditions or a risk of insolvency of a clearing member, the Exchange may verify the amount of settlement guarantee deposit (it refers to money that a clearing member deposits with the Korea Securities Depository in order to replace the delivery with the securities delivery bill; the same hereinafter in this Article) deposited with the Korea Securities Depository before obtaining the consent noted in paragraph (1).

(4) When the relevant securities have been received from the clearing member who has settled the delivery by using the security delivery bill, the Korea Securities Depository shall notify the Exchange of such details.

(5) In the case of falling under in any of the following subparagraphs, the Exchange may use the settlement guarantee deposit to purchase the security for which the security delivery bill was issued:

1. Where the clearing member who settled the delivery with the security delivery bill has made a request;
2. Where the securities for which the security delivery bill has been issued has not been delivered by the delivery deadline; and

3. Additionally, where the Exchange deems it necessary.

(6) When intending to purchase the securities pursuant to paragraph (5), the Exchange shall notify the relevant clearing member and the Korea Securities Depository in advance.

§29. Exchange of Repo Bonds

(1) Pursuant to [§23(4)] of the Regulation, the exchange of bonds shall be carried out in accordance with the method in each of the following subparagraphs:

1. A buyer shall file a request with the Exchange by 13:30 on the day when the reason for exchanging the bonds occurred;
2. The Exchange shall notify the fact of exchange request to the seller;
3. The seller who is notified thereof shall notify the Exchange by 14:30 of the day after specifying the exchange bonds;
4. The seller and buyer shall deposit with the Exchange the exchange bonds, purchased bonds, balance of additional margin for the relevant Repo agreement calculated by applying [§20(1)] *mutatis mutandis* thereto, and the incomes accrued on the purchased bonds and the margin maintenance bond calculated by applying [§21(2)] *mutatis mutandis* thereto, respectively, before the settlement deadline of the day.
5. The Exchange shall hand over the received exchange bonds, purchased bonds, balance of additional margin, and income to the buyer and the seller, respectively, after the settlement deadline of the day.

(2) In cases where the buyer is unable to file the request pursuant to paragraph (1) by 13:30 of the day, the request may be filed by 13:30 of the next trading day.

(3) The appraisal amount of the exchange bonds noted in [§24(2)] of the Regulation shall be an amount calculated by applying [§19(1)1] *mutatis mutandis* thereto. In this case, “purchased bonds” shall be deemed as “exchange bonds”.

§30. Substitution of Repo Bonds

(1) Pursuant to [§25(3)] of the Regulation, the substitution of bonds shall be carried out by the method in each of the following subparagraphs:

1. A seller shall file a request with the Exchange by 13:30 of the day after specifying the substitution bonds;
2. The Exchange shall notify the fact of the substitution request to the buyer;

3. The buyer who has been notified thereof shall inform its decision on acceptance of such request to the Exchange by 14:30 of the day;

4. The seller and buyer shall, when the buyer's consent is obtained, deliver to the Exchange the substitution bonds and purchased bonds, respectively, before the settlement deadline of the day; and

5. The Exchange shall hand over to the buyer and the seller the substitution bonds and the purchased bonds after the settlement deadline of the day.

(2) The substitution of bonds shall be limited to ten (10) times (it shall be one time for each trading day) for each Repo agreement.

(3) Regarding the method of calculating the appraisal amount of the substitution bonds noted in [§25(2)] of the Regulation, [§19(1)1] shall apply *mutatis mutandis* thereto. In this case, "purchased bonds" shall be deemed as "substitution bonds".

§31. Special Cases Concerning Securities Settlement

(1) Cash or a similar issue that substitutes the issue to be settled at the settlement deadline pursuant to [§26(2)] of the Regulation, (hereinafter referred to as "original issue") shall be selected by a clearing member who will receive the original issue. Provided that, in cases where it is recognized that the settlement using the selected issues is difficult, the Exchange shall select the issue in consultation with the relevant clearing member.

(2) In the case of making the settlement in cash instead of the original issue, the amount shall be the greater of the amount noted in subparagraph 3 and the sum of the amount noted in subparagraph 1 and the amount noted in subparagraph 2. In such cases, if the original issue is a foreign currency-denominated debt security, it shall be the amount converted into Korean currency by applying the basic exchange rate, etc. as of the settlement date that is determined and made public in accordance with the Foreign Exchange Transaction Regulation:

1. The amount obtained by multiplying the quantity not settled by the closing price of the original issue on the trading day;

2. The amount obtained by multiplying the amount under subparagraph 1 by 20% (5% for debt securities); and

3. The amount obtained by multiplying the quantity not settled by the closing price of the original issue on the date of cash payment (in cases where the delivery is made before the determination of the closing price of the day, the closing price of the previous day shall be used; the same hereinafter in this Article).

(3) In the case of intending to settle with a similar issue, instead of the original issue, the

quantity of such issue shall be the number obtained by dividing the amount determined in accordance with paragraph (2) by the closing price of the delivery day of the relevant issue. In such cases, the quantity less than the trading quantity unit shall be paid in cash.

(4) In cases where the number of issues pursuant to paragraph (3) is two (2) or more, the quantity of each issue shall be the quantity when the sum of the amount obtained by multiplying the quantity of each issue by the closing price on the delivery day of the relevant issue becomes equal to the amount noted in paragraph (2).

(5) Notwithstanding paragraphs (1) through (4), in cases where the clearing member who has not delivered the original issue and the clearing member who entitles to receive the original issue have made a different agreement, such agreement shall apply.

(6) When settling the trade using cash or other similar issue instead of the original issue, the Exchange shall notify such fact to the Korea Securities Depository.

CHAPTER III. MEMBER MARGIN, ETC.

§32. Calculation of Member Margins by Member

The “trading volume of stocks, etc. of members and customers (when an entrustment for intermediation has been received from an investment broker, it shall include the person who made the entrustment to the relevant investment broker) stipulated in the Enforcement Rules” in the forepart of [§27(1)] of the Regulation shall refer to the amount remaining after subtracting the selling amount from the buying amount of each issue with respect to the trading of stocks, etc., which are classified in each of the following subparagraphs:

1. Trading through securities accounts for self-account transaction of the relevant clearing member;
2. Trading through securities accounts of customers of the relevant clearing member (when an entrustment for intermediation has been received from an investment broker, it shall include the person who made the entrustment to the relevant investment broker; the same hereinafter in this Article.);
3. Trading through securities accounts for self-account transaction of a non-clearing member who entered into an agreement for settlement entrustment with the relevant clearing member; and
4. Trading through securities accounts of customers of a non-clearing member who entered into an agreement for settlement entrustment with the relevant clearing member.

§33. Calculation of Net Exposure Margin

The amounts of net exposure margin and variable margin noted in [§27(2)] of the Regulation shall be calculated in accordance with [Annex 1] at the time of market closing. In this case, the amount less than KRW 10 shall be discarded.

§34. Settlement Price When Calculating Variable Margin

“Settlement price set by the Enforcement Rules” in [§27(2)] of the Regulation shall refer to the closing price on the relevant trading day.

§35. Deposit Limits of Substitute Securities and Foreign Currencies

(1) “Limits set by the Enforcement Rules” in [§27(4)] of the Regulation shall refer to the amounts classified in each of the following subparagraphs for securities and foreign currencies:

1. For the substitute securities under subparagraph 2(a) of [§47] and foreign currencies (referred to as “cash equivalents” hereinafter in this Article): The total amount of member margins deposited with the Exchange; and
2. For the substitute securities under subparagraphs 1, 2(b) and 3 of [§47]: The amount equivalent to 40/100 of the sum of the amount of margin for net exposure and the amount of variable margin calculated according to [§27(1)] of the Regulation (referred to as “member margin requirement” hereinafter in this Article).

(2) In cases where a member has deposited an amount of cash or cash equivalent as its member margin that exceeds the member margin requirement after deducting the amount under paragraph (1)2, the limits under paragraph (1)2 shall not apply thereto.

(3) In cases where it is deemed necessary for market management, the Exchange may change the limits under each subparagraph of paragraph (1).

§36. Types and Valuation of Foreign Currencies, etc.

(1) The types of foreign currencies noted in [§27(5)] of the Regulation shall be the foreign currencies falling under any of the following subparagraphs:

1. US dollar;
2. Japanese Yen;
3. European Union Euro;
4. British Pound;
5. Hong Kong dollar;

6. Australian dollar;
7. Singapore dollar;
8. Swiss Franc;
9. Canadian dollar; and
10. Chinese Yuan.

(2) The Exchange shall calculate the price converted into Korean currency (referred to as the “evaluated price” hereinafter in this Article), which is calculated by multiplying the assessment rate by the base market price of the foreign currency on each trading day. In such cases, the amount less than KRW 1 shall be discarded.

(3) The basic market price of foreign currency noted in paragraph (2) shall be the basic exchange rate (referring to the basic rate of the day determined and published pursuant to the Foreign Exchange Transaction Regulation; but it shall be the basic rate of the previous day, if no basic rate of the day is available) in each of the following subparagraphs, and the assessment rates of foreign currencies noted paragraph (2) shall be calculated at the end of each quarter in accordance with [Annex: Form 19-4] of the Enforcement Rules of the Derivatives Market Business Regulation based on the yields of the basic exchange rates of each foreign currency determined and published pursuant to the Foreign Exchange Transaction Regulation and applied during the quarter following the quarter in which the calculation date falls.

1. For US dollar and Chinese Yuan: The basic exchange rate determined and published on the day after the member margin calculation date; and

2. For currencies other than US dollar and Chinese Yuan: The adjusted basic exchange rate determined and published on the member margin calculation date.

(4) Notwithstanding paragraphs (1) through (3), in cases where the collateral value of foreign currency changes, a restriction is placed on the exchange of foreign currency or it is deemed necessary for the market management, the Exchange may limit the types of foreign currencies accepted, change the basic market price and assessment rate, or the valuation method.

(5) The Exchange shall, after having calculated the evaluated prices of foreign currencies, make public such prices for each currency through the electronic information media operated by the Exchange including its internet website, etc.

§37. Management of Intraday Settlement Risk, etc.

(1) Pursuant to [§27(7)] of the Regulation, the Exchange shall calculate intraday settlement risk at 19:00.

(2) “Criteria stipulated in the Enforcement Rules” in [§27(7)] of the Regulation shall refer to cases where all of the following requirements are met:

1. The intraday net exposure margin amount calculated for each member shall be at least 200/100 of the net exposure margin amount calculated based on the market closing time of the previous day;
2. The intraday member margin calculated for each member shall be at least 250/100 of the total deposit amount (it refers to the sum of the deposited cash, the substitution value of substitute securities, and the assessed value of foreign currency; the same hereinafter); and
3. The intraday member margin deposit shortfall calculated for each member (it refers to the amount obtained by deducting the total deposit amount from the intraday member margin) shall be at least KRW 10 billion.

(3) The deadline for depositing member margin changed pursuant to paragraph (1) shall be 11:00 on the trading day following the calculation date. Provided that, if the Exchange deems it necessary for market management, it may set the deadline differently for depositing the changed member margin.

§38. Verification of Member Margin Calculation Method, etc.

(1) Pursuant to [§27(9)] of the Regulation, in cases where the Exchange makes significant changes to member margin calculation methods, or when it deems it necessary for market management, it shall ensure that an independent external institution with verification capabilities assesses the suitability of these methods.

(2) In the event of verification pursuant to paragraph 1, the Exchange shall report the verification results to the Risk Management Committee.

§39. Deposit and Withdrawal of Member Margins

Pursuant to [§29(2)] of the Regulation, in the event that a member deposits or withdraws member margins, the member shall accomplish it by submitting a written request to the Exchange in accordance with [Annex: Form No. 3] through [Annex: Form No. 5] or inputting the details into the Exchange system via the member securities input device.

§40. Designation of Banks for Receipt and Payment of Member Margin and Termination of Designation Thereof

Pursuant to [§29(4)] of the Regulation, paragraphs (1) and (2) of [§111] of the Enforcement Rules of Derivatives Market Business Regulation shall apply *mutatis*

mutandis to the requirements for designation and termination of designation of the banks with which the Exchange can open an account for receipt and payment of member margins. In such cases, the “settlement banks” shall be construed as the “banks for receipt and payment of member margin”.

§41. Operation of Member Margins, etc.

(1) Pursuant to [§30(4)] of the Regulation, when operating the member margins deposited in cash or foreign currencies in such a way of depositing them with the banks for receipt and payment of member margins or the securities finance companies, the Exchange shall prevent the amount under operation from being concentrated in a single bank for receipt and payment of member margins or securities finance company in accordance with the standards separately set by the Exchange.

(2) Pursuant to [§72-6(4)] of the Regulation, in cases where the Exchange reckons the proceeds and expenses, etc. by incorporating them in the member margin, the proceeds to be paid to or the expenses to be collected from each clearing member shall be calculated respectively and added to or subtracted from the member margin in accordance with the standards separately set by the Exchange.

(3) Pursuant to [§30(4)] of the Regulation, when the Exchange operates the member margin deposited in cash or foreign currency, it shall operate it in the manner of general operation and special operation by currency according to the standards separately set by the Exchange.

(4) In addition to paragraphs (1) through (3), the Exchange shall separately determine the matters necessary for operating cash or foreign currency deposited as member margin.

§42. Calculation of Additional Intraday Member Margin, etc.

(1) Pursuant to [§32(5)] of the Regulation, in cases where all of the requirements under each of the following subparagraphs are met at the point one (1) minute after the market opening and each time of every hour after the market opening (excluding the time after 16:00) (hereinafter referred to as “time of calculating intraday member margin”), the Exchange shall impose additional intraday member margin on the relevant clearing member at the time when one (1) hour elapsed after the time of calculating intraday member margin (hereinafter referred to as “time of imposition”).

1. The price fluctuation rate of KOSPI 200 (referring to the absolute value of the amount obtained by dividing the difference between the KOSPI 200 at the time of calculating intraday member margin and the closing KOSPI 200 on the previous day by the closing KOSPI 200 on the previous day) shall be equal to or higher than 80/100 of the member margin rate of the futures of which underlying asset is KOSPI 200 that is traded in the domestic index futures market noted in [§3(2)1] of the Derivatives Market Business Regulation; and

2. Intraday member margin calculated for each member shall be equal to or more than 120/100 of the total amount of deposit.

(2) The additional intraday member margin noted in paragraph (1) shall be calculated by subtracting the total amount of deposit calculated based on the time of imposition from the intraday member margin calculated based on the time of calculating intraday member margin for each member; and the intraday member margin shall be calculated by summing up the amount of net exposure margin (the amount less than KRW 10 shall be discarded) and the amount of variable margin (the amount less than KRW 10 shall be discarded) calculated in accordance with [Annex 1] based on the time of calculating intraday member margin.

(3) When imposing additional intraday member margins, the Exchange shall inform the relevant member of such fact, the amount of additional intraday member margin, deadline for deposit, and other necessary matters without delay.

(4) If the number of times of calculating intraday member margin meeting all the requirements under each subparagraph of paragraph (1) is two (2) or more, the Exchange shall impose additional intraday member margins on the basis of the time the requirements are met first.

(5) Notwithstanding paragraph (1), the Exchange may not impose the additional intraday member margin in consideration of market situation, etc.

§43. Depositing of Additional Intraday Member Margins, etc.

(1) “Time specified in the Enforcement Rules” in [§32(2)] of the Regulation shall refer to a time within two (2) hours after the Exchange informed the fact of imposition of additional intraday member margins pursuant to [§42(3)].

(2) Pursuant to [§32(3)] of the Regulation, a non-clearing member who is imposed the additional intraday member margin of non-clearing member shall deposit the additional intraday member margin by the time specified by the designated clearing member within the time specified in paragraph (1).

(3) Notwithstanding paragraphs (1) and (2), where it is deemed necessary for market management, the Exchange may change the date and time of depositing the additional intraday member margins and the additional intraday member margins of non-clearing members.

§44. Release from Imposition of Additional Intraday Member Margin

(1) In cases where the additional intraday member margin calculated based on the time thirty (30) minutes after the time of imposition is less than or equal to the total amount of

deposit calculated based on the time one (1) hour after the time of imposition, the Exchange may release the relevant member from imposition of additional intraday member margin.

(2) When releasing a member from imposition of additional intraday member margin, the Exchange shall notify such fact to the relevant member without delay.

§45. Assessment of Eligibility of Substitute Securities and Invalidation of Ineligible Substitute Securities, etc.

(1) Pursuant to [§34(2)] of the Regulation, in case where substitute securities deposited as member margin fall under any of the following subparagraphs, the Exchange shall not recognize the validity of the relevant substitute securities.

1. For the listed stocks, DRs of foreign stocks, and collective investment securities of business development collective investment vehicle : Cases that fall under any of the following items: [Amended on April 17, 2026]

(a) When the period of time required for disposal of the securities in a crisis situation, calculated in accordance with [Annex 2] (hereinafter referred to as “disposal period”) exceeds ten (10) trading days;

(b) When the proportion of the number of days when the trade of the relevant security was executed to the number of trading days of the regular session, calculated in accordance with [Annex 2] (hereinafter referred to as the “proportion of trade execution days”) is below 75%.

2. For securities corresponding to corporate bond group as classified in [Annex 3] among listed debt securities (excluding the bonds falling under subparagraph 3, 4 or 4-2 of [§85] of the KOSPI Market Listing Regulation): Cases where the lowest of the credit ratings issued by qualified external credit rating agencies selected by the Exchange from among those designated by the Financial Supervisory Service is lower than ‘BBB+’.

3. Unlisted beneficiary certificates from among the beneficiary certificates under Article 189 of the Act and unlisted stocks of investment companies.

4. Among listed collective investment securities of ETFs, securities whose index underlying asset type pursuant to [Annex 4] falls under raw materials or whose classification falls under the stock group (derivative type).

5. Among listed ETNs, securities whose index underlying asset type pursuant to [Annex 4] is not bond type or whose classification falls under the stock group (derivative type).

(2) The timing for assessing whether a substitute security falls under each subparagraph

of paragraph (1) (hereinafter referred to as the “eligibility assessment”) and the timing for denying the validity of a substitute security according to the assessment results are as follows:

1. For substitute securities falling under subparagraph 1 of paragraph (1): The eligibility assessment shall be conducted at the end of each quarter and the denial of the validity shall apply from the sixth (6th) trading day of the quarter following the quarter which includes the assessment date. Provided that, in the case of newly listed issues, the eligibility assessment shall be conducted from the end of the quarter following the quarter in which the listing date falls; and

2. For substitute securities falling under subparagraphs 2 and 3 of paragraph (1): The eligibility assessment shall be conducted every trading day and the denial of the validity shall apply from the trading day following the assessment date.

(3) The Exchange shall publish the results of eligibility assessment in a manner falling under any of the following subparagraphs:

1. Posting on the devices that are primarily used for dissemination of securities information, which satisfy the requirements specified by the Exchange, such as the stability, convenience, etc. of the system;

2. Transmitting from the computer system operated by the Exchange to the computer systems operated by members and the Korea Securities Depository; and

3. Publishing in the Daily Stock Market Review.

(4) “A company with which it has the relations specified in the Enforcement Rules” in [§34(3)] of the Regulation shall refer to a company that falls under any of the following subparagraphs (hereinafter referred to as “related company”):

1. The affiliated company prescribed in Subparagraph 12 of Article 2 of the Monopoly Regulation and Fair Trade Act; and

2. The financial holding company, subsidiary, second-tier subsidiary and third-tier subsidiary prescribed in Subparagraphs 1 through 3-2 of Article 2(1) of the Financial Holding Companies Act.

(5) The Exchange may request a member to submit the relevant materials to confirm whether it has complied with the deposit restrictions for the securities issued by the member or its related companies stipulated in [§34(3)] of the Regulation.

§46. Deposit Limit per Issue of Substitute Securities and Deduction Methods, etc.

(1) Pursuant to [§34(4)] of the Regulation, in the event that the substitution value of each issue of the substitute securities deposited by a member exceeds the deposit limit for each

issue (in the case of securities falling under subparagraph 3, it refers to issues for each issuer; the same hereinafter in this Article) of substitute securities under each of the following subparagraphs, by each group of the securities accounts for self-account transaction of members and the securities accounts of customers, the Exchange shall deduct the amount exceeding the relevant deposit limit from the total amount of deposits of the relevant member, respectively:

1. For the securities falling under the stock group falling under subparagraph 1 of [§47] (excluding a newly listed issue): The amount equivalent to 50/100 (for the securities falling under subparagraph 1(b) of [§47], it shall be 100/100) of the average daily trading value (excluding trading at multilateral trading companies) per issue of the regular session trading days during the latest one (1) year counting from the date of calculation;

2. For newly listed issues from among stock groups falling under subparagraph 1 of [§47]: The amount in each of the following items for the period from the listing date to the end of the quarter following the quarter which includes the listing date:

(a) For the listed stocks, DRs of foreign stocks, and business development collective investment vehicle investment company stocks: The amount equivalent to 1/100 of the base market capitalization under subparagraph 5 of [§18] of the KOSPI Market Listing Regulation and [§2(1)34] of the KOSDAQ Market Listing Regulation (for the KONEX-listed stocks, it shall be the amount obtained by multiplying the valuation price under [§25(1)2(b)] of the Enforcement Rules of KONEX Market Business Regulation by the number of stocks to be listed); (Amended on April 17, 2026)

(b) For the securities falling under the stock group as classified in [Annex 4], from among collective investment securities of ETF investment companies, ETNs and listed beneficiary certificates: The amount equivalent to 2/100 of the amount obtained by multiplying the base prices under [§30(1)2(c) through (e)] of the Enforcement Rules of the KOSPI Market Business Regulation by the number of stocks to be listed; and

(c) Business development collective investment vehicle investment trust beneficiary certificates: The amount equivalent to 2/100 of the amount obtained by multiplying the base price under [§17(1)2(f)] of the Enforcement Rules of the KOSDAQ Market Business Regulation by the number of securities to be listed. [April 17, 2026]

3. For the securities falling under the corporate bond group as classified in [Annex 3], from among listed debt securities: The amount equivalent to 10/100 of the sum of the issuance amounts per issue of listed debt securities issued by the issuer of the relevant issue as of the date of calculation; and

4. For the securities falling under the corporate bond group as classified in [Annex 4], from among collective investment securities of ETF investment companies, ETNs and listed beneficiary certificates: The amount equivalent to 10/100 of the amount obtained

by multiplying the base prices noted in [§30(1)1 and 5] of the Enforcement Rules of the KOSPI Market Business Regulation as of the calculation date by the number of listed stocks.

(2) The deposit limits per issue of substitute securities under paragraph (1) shall be calculated at the end of each quarter and shall apply from the sixth trading day of the quarter following the quarter in which the calculation date falls.

(3) The Exchange may, when it deems it necessary for market management, change the deposit limits per issue of substitute securities.

§47. Classification of Substitute Securities for Calculating Substitute Prices, etc.

Pursuant to [§34(6)] of the Regulation, the Exchange shall, for the purpose of calculating substitute prices, effectiveness, and restrictions on concentrated deposit, etc. of substitute securities, classify substitute securities as follows. Provided that, from among the beneficiary certificates under [§112(2)2] of the Enforcement Rules of the KOSPI Market Business Regulation, the unlisted beneficiary certificates and unlisted stocks of investment companies shall be excluded:

1. Stock group; Substitute securities falling under any of the following items:
 - (a) Listed stocks, listed DRs of foreign stocks, and collective investment securities of business development collective investment vehicle ; and (Amended on April 17, 2026)
 - (b) Securities falling under the stock group as classified in [Annex 4], from among collective investment securities of ETF investment companies, ETNs and listed beneficiary certificates.
2. Government and public bonds group; Substitute securities falling under any of the following items:
 - (a) Securities falling under the government bond group, municipal bond group or special purpose bond group as classified in [Annex 3], from among listed debt securities; and
 - (b) Securities falling under the government bond group or special purpose bond group as classified in [Annex 4], from among collective investment securities of ETF investment companies.
3. Corporate bond group; Substitute securities falling under any of the following items:
 - (a) Securities falling under the corporate bond group as classified in [Annex 3], from among listed debt securities; and

(b) Securities falling under the corporate bond group as classified in [Annex 4], from among collective investment securities of ETF investment companies, ETNs and listed beneficiary certificates.

§48. Timing of Calculation of Substitute Prices and Application Thereof

Pursuant to [§34(6)] of the Regulation, the calculation and application of substitute prices of the substitute securities shall be made as follows:

1. For listed stocks and DRs of foreign stocks, listed collective investment securities of ETFs, listed ETNs, stocks of investment company for business development collective investment vehicle, and listed debt securities: The substitute prices shall be calculated on a daily basis (excluding market holidays) and applied on the next trading day. (Amended on April 17, 2026)
2. For beneficiary certificates, stocks of unlisted investment companies, and investment trust beneficiary certificates of business development collective investment vehicle: The substitute prices shall be calculated on the base date for calculation and applied for the period from the first application date to the day preceding the next first application date. (Amended on April 17, 2026)

§49. Calculation Methods of Substitute Prices

(1) The substitute price of a substitute security shall be the amount obtained by multiplying the base price by the assessment rate. In this case, the substitute security falls nay of the following subparagraphs, the amount less than an amount determined in the relevant subparagraph shall be discarded:

1. In the case of stocks, DRs of foreign stocks, collective investment securities of ETFs, ETNs listed on the stock market, collective investment securities of business development collective investment vehicle. beneficiary certificates, unlisted stocks of investment companies and listed debt securities, excluding the listed foreign currency-denominated debt securities: KRW 10; and (Amended on April 17, 2026)
2. In the case of listed foreign currency-denominated debt securities: 1 point.

(2) The substitute prices of listed foreign currency-denominated debt securities may be applicable by converting into Korean currency. In such cases, such prices shall be the prices converted by applying the basic exchange rate, etc. of the application date that is determined and made public in accordance with the Foreign Exchange Transaction Regulation (in cases where the basic exchange rate, etc. is not posted on the day before the application date, the previous day's basic exchange rate shall apply), but any amount below KRW 10 shall be discarded.

§50. Base Market Prices and Assessment Rates of Listed Stocks, etc.

(Amended on April 17, 2026)

(1) The base market prices of stocks, DRs of foreign stocks, stocks of investment company for business development collective investment vehicle, collective investment securities of ETFs and ETNs listed on the stock market shall be as follows: (Amended on April 17, 2026)

1. Stocks, DRs of foreign stocks, collective investment securities of ETFs and ETNs listed on the KOSPI market: The base price on the application date noted in [§30] of the Enforcement Rules of the KOSPI Market Business Regulation

2. Stocks, DRs of foreign stocks, and stocks of investment company for business development collective investment vehicle listed on the KOSDAQ market: The base price on the application date noted in [§17] of the Enforcement Rules of the KOSDAQ Market Business Regulation (Amended on April 17, 2026)

3. Stocks listed on the KONEX market: The base price on the application date noted in [§25] of the Enforcement Rules of the KONEX Market Business Regulation

(2) Listed stocks, DRs of foreign stocks listed on the stock market, and stocks of investment company for business development collective investment vehicle shall be calculated in accordance with the methods specified in [Annex 5] by assigning liquidity grades and yield grades based on the daily trading value (excluding trading at multilateral trading companies; the same hereinafter in this Article) and yields per issue for the trading days of the latest one (1) year counting from the calculation date. (Amended on April 17, 2026)

(3) The assessment rates of collective investment securities of ETFs and ETNs listed on the stock market shall be calculated in accordance with the method in each of the following subparagraphs:

1. For securities falling under subparagraph 1(b) of [§47]: The assessment rates shall be calculated in accordance with the methods specified in [Annex 5] by rating the liquidity and yields based on the daily trading value and yields per issue for the trading days of the latest one (1) year counting from the calculation date; and

2. For securities falling under subparagraph 2(b) of [§47] and subparagraph 3(b) of the same Article: The assessment rates shall be calculated in accordance with the methods specified in [Annex 6] based on the classifications under [Annex 4], credit ratings and terms to maturities, etc.

(4) The assessment rates under paragraphs (2) and (3) shall be calculated at the end of each quarter and applied during the quarter following the quarter in which the calculation date falls. Provided that, the assessment rates of the securities falling under paragraph (3) shall be calculated every trading day and applied on the next trading day.

§51. Assessment Rates of Securities in Stock Group Designated as Substitute Securities during Quarter

(1) In cases where an issue falling under each of following subparagraphs is designated as a substitute security during a quarter as the reasons for exclusion from designation as substitute securities are eliminated, the assessment rate of the relevant issue shall be the assessment rate calculated at the end of the latest quarter (referring to the assessment rate that was most recently calculated if there is no such assessment rate), and applied until the last day of the quarter in which the date of designation as substitute securities falls:

1. Issues listed on the KOSPI market: An issue falling under any of each item of subparagraphs 1 and 2 (limited to securities falling under subparagraph 1(b) of [§47]) of [§88(2)] of the KOSPI Market Business Regulation;
2. Issues listed on the KOSDAQ market: An issue falling under any of each subparagraph of [§44] of the Enforcement Rules of the KOSDAQ Market Business Regulation; and
3. Issues listed on the KONEX market: An issue falling under any of each subparagraph of [§75] of the Enforcement Rules of the KONEX Market Business Regulation.

§52. Special Cases Concerning Assessment Rates of Initially Listed Issues, etc. among Securities Falling under Stock Groups

(1) Notwithstanding paragraphs (2) and (3)1 of [§50], [§51] and [§54(3)1], the assessment rates of initially listed issues and re-listed issues from among the securities falling under stock groups shall be as follows;

1. For stocks and DRs of foreign stocks listed on the KOSPI market: 70%
2. For stocks, DRs of foreign stocks, and collective investment securities of business development collective investment vehicle listed on the KOSDAQ market: 70% (Amended on April 17, 2026)
3. For stocks listed on the KONEX market: 60%
4. For the securities falling under the stock group as classified in [Annex 4], from among collective investment securities of ETF investment companies, ETNs and beneficiary certificates listed on the stock market: 70%

(2) The assessment rates under paragraph (1) shall apply from the date of trading commencement to the end of the quarter following the quarter which includes the date of trading commencement.

§53. Base Market Prices and Assessment Rates of Listed Debt Securities

(1) The base market prices of listed debt securities shall be the simple arithmetic average of daily closing prices of the five (5) trading days retroactive from the base date for calculation (including the base date for calculation) for each issue (the figures below the decimal point shall be discarded; and in the case of listed foreign currency-denominated debt securities, referring to the price expressed after conversion into the relevant foreign currency; the same hereinafter in this Article and [§56]). Provided that, when the closing price is not available, the mark-to-market price of the relevant issue shall be the closing price.

(2) The assessment rates of listed debt securities shall be calculated every trading day in accordance with the methods under [Annex 6] based on the classifications under [Annex 3], credit ratings and terms to maturities, etc., and applied on the next trading day.

§54. Base Market Prices and Assessment Rates of Beneficiary Certificates and Investment Trust Beneficiary Certificates of Business Development Collective Investment Vehicle

(Amended on April 17, 2026)

(1) The base market price of a beneficiary certificate prescribed in Article 189 of the Act shall be the simple average of the base prices calculated in accordance with Article 238(6) of the Act for seven (7) trading days retroactive from the base date for calculation.

(2) The base market price of listed beneficiary certificates and investment trust beneficiary certificates of business development collective investment vehicle noted in [§112(2)3] of the Enforcement Rules of the KOSPI Market Business Regulation shall be the trading volume-weighted average price during the twenty (20) trading days retroactive from the base date for calculation. Provided that, in cases where there is no trading record during such period, it shall be the previous base market price (if such price is not available, the issuing price at the time of the public offering or secondary distribution). (Amended on April 17, 2026)

(3) The assessment rates of beneficiary certificates under paragraphs (1) and (2) shall be as follows:

1. For the securities falling under the stock groups under subparagraph 1(b) of [§47]; The rate calculated in accordance with [Annex 5];
2. For the securities falling under the corporate bond groups under subparagraph 3(b) of [§47]; The rate calculated in accordance with [Annex 6]; and
3. For the unlisted beneficiary certificates from among the beneficiary certificates under paragraph (2) of [§112] of the Enforcement Rules of the KOSPI Market Business Regulation; the assessment rates in each of the following items:

(a) For the beneficiary certificates of bond-type collective investment schemes and money market funds: 80%; and

(b) For the beneficiary certificates other than those noted in item (a): 70%.

(4) The assessment rates of the securities falling under paragraph (3)1 shall be calculated at the end of each quarter and applied during the quarter following the calculation date, and the assessment rates of the securities falling under paragraph (3)2 shall be calculated every trading day and applied on the next trading day.

§55. Base Market Prices and Assessment Rates of Unlisted Stocks of Investment Companies

With respect to the base market price and assessment rates of unlisted stocks of investment companies, paragraphs (1) and (3)3 of [§54] shall apply *mutatis mutandis*.

§56. Special Cases concerning Calculation of Substitute Prices, etc.

(1) Notwithstanding [§48], [§50] through [§53], the Exchange may calculate and apply substitute prices for newly listed stocks, etc. in the method in each of the following subparagraphs.

1. In the case of issues in following items:

(a) Issue using the first trading price as the base price;

(b) Issues falling under subparagraphs 2(a) through 2(d) (excluding beneficiary certificate specified in Article 189 of the Act) of [§30(1)] of the Enforcement Rules of the KOSPI Market Business Regulation;

(c) Issues falling under [§17(1)2] of the Enforcement Rules of the KOSDAQ Market Business Regulation; and

(d) Issues falling under subparagraphs 2(a) and 5(b) of [§25(1)] of the Enforcement Rules of the KONEX Market Business Regulation.

2. In the case of listing debt securities: The substitute price shall be calculated on the day of listing and applied on the following trading day.

3. In cases where the closing price of a listed debt security (for the days with no closing price, it shall be the mark-to-market price; the same hereinafter in this Article) is less than the substitute price: The substitute price shall be calculated on that day and applied on the following trading day.

4. In cases where the guarantor institutions, noted in Article 362(8) of the Enforcement Decree of the Act, of guaranteed bonds fall under any of the following items: The substitute price shall be calculated on that day and applied on the following trading day.

(a) Where a bill or check issued has been dishonored or the transaction with banks has been suspended or banned;

(b) Where the business operation, in the whole or in part, has been suspended; and

(c) Where an application for bankruptcy, dissolution, or commencement of company rehabilitation has been filed according to the laws and regulations or a de facto company rehabilitation procedure has begun.

(2) The base market price of the substitute securities noted in paragraph (1) shall be each of the following subparagraphs:

1. In the case of paragraph (1)1, the base market price specified in each of the following items;

(a) Issues using the first trading price as the base price of the KOSPI market: The appraisal price specified in [Annex 1] of the Enforcement Rules of the KOSPI Market Business Regulation;

(b) Issues using the first trading price as the base price of the KOSDAQ market: The appraisal price specified in [Annex 1] of the Enforcement Rules of the KOSDAQ Market Business Regulation;

(c) Issues using the first trading price as the base price of the KONEX market: The appraisal price specified in [Annex 1] of the Enforcement Rules of the KONEX Market Business Regulation; and

(d) Issues falling under subparagraphs 1(b) through 1(d) of paragraph (1): The base price on the listing date.

2. In the case of subparagraphs 2 through 4 of paragraph (1), the arithmetic means of daily closing prices of the period from the date of occurrence of a reason noted in each item to the date of calculation [limiting only up to four (4) trading days from the date of occurrence (including the date of occurrence of a reason)]

(3) The assessment rates of substitute prices noted in paragraph (1) shall be each of the following subparagraphs:

1. For the securities falling under subparagraph 1 of [§47], from among the issues under paragraph (1)1: The assessment rates in each of the following items. Provided that it shall be 30% for an issue using the first trading price as the base price, of which the lowest quotation price is determined by multiplying 50% to the appraisal price; and it shall be “zero” in the case of the issues with no appraisal price or the issues of which

the lowest quotation price is the lowest of the quotation price units;

(a) Issues using the first trading price as the base price of the KOSPI market and issues using the first trading price as the base price of the KOSDAQ market: 70%

(b) Issues using the first trading price as the base price of the KONEX market: 60%

(c) Issues falling under subparagraph 1(b) and 1(c) of paragraph (1): 70%

(d) Issues falling under subparagraphs 1(d) of paragraph (1): 60%

2. For the securities falling under subparagraphs 2(b) and 3(b) of [§47], from among the issues under paragraph (1)1: The assessment rates under [§50(3)2]; and

3. For cases in subparagraphs 2 through 4 of paragraph (1): The assessment rate pursuant to [§53(2)].

(4) The Exchange may, when it deems necessary for the market management, such as changes in market conditions or collateral value of the substitute securities, change the calculation methods of substitute prices, base market prices, assessment rates, etc.

(5) The Exchange may temporarily suspend the application of the substitute price to the issues for which trading has been suspended or halted for a prolonged period of time and to others when deemed necessary for the market management. In cases where temporary suspension is lifted, paragraphs (1)2 and (2)2 shall apply *mutatis mutandis* (if temporary suspension is lifted due to the resumption of trades, the initial date of calculation shall be the date when trades resume.) for applying the substitute price and determining the base price of substitute securities.

(6) Notwithstanding paragraph (3), [§50(2) and (3)], [§53(2)] and [§54(4)], when collecting a good faith deposit from a customer, if a member deems it necessary after considering the value of collateral and cashability, etc. of substitute securities, the member may change and apply the assessment rates of substitute securities within the assessment rates stipulated in the same provisions. (Amended on April 17, 2026)

§57. Substitute Prices of Beneficiary Certificates Noted in Article 189 of the Act, etc.

The substitute prices of the beneficiary certificates prescribed in Article 189 of the Act and the stocks of unlisted investment companies shall be calculated on the basis of the data notified by the collective investment business companies or Korea Financial Investment Association.

§58. Publication of Substitute Prices

The Exchange shall, when calculating the substitute prices pursuant to [§48], [§49] and

[§56], make public such substitute prices until the first application date through the method in each of the followings:

1. Posting on the devices that are primarily used for dissemination of securities information, which satisfy the requirements specified by the Exchange, such as the stability, convenience, etc. of the system (hereinafter referred to as the “securities information device”); and
2. Publishing in the Daily Stock Market Review.

CHAPTER IV. MANAGEMENT OF SETTLEMENT RISK, ETC.

§59. Notification of Settlement Capability of Clearing Member, etc.

(1) Pursuant to [§35(4)] of the Regulation, the Exchange may request the clearing member, who is expected to have a difficulty in fulfilling its settlement obligation, to provide the information noted in each of the following subparagraphs:

1. Status and reasons for the expected difficulty in settlement amount and/or settlement securities;
2. Status and reasons for the expected difficulty in depositing the member margin;
3. The ability to deliver the securities eligible for the issuance of a delivery bill; and
4. Any other matters that the Exchange deems necessary for the operation of reliable and efficient settlement.

(2) Pursuant to [§35(4)] of the Regulation, in cases where there is an issue falling under [§27(1)] as a result of not delivering stocks, etc. by the settlement deadline, the clearing member shall notify the details of the relevant issue noted in each of the following subparagraphs to the Exchange by the 10th day (if the relevant day is a market holiday, it shall be the next trading day) of the month after the end of each quarter:

1. Name and quantity of issue undelivered per account and the reason for non-delivery; and
2. Any other matters that the Exchange deems necessary.

(3) Pursuant to [§35(4)] of the Regulation, a multilateral trading company shall notify to the Exchange information in each of the following subparagraphs:

1. In case of receiving the request for the resolution of large-scale trade errors from trading participants: Time of occurrence and end of large-scale trade errors, trading participant, and expected loss amount;

2. In case of a failure in the trading system of a multilateral trading company: Facts and time of system failure, and matters related to suspension and resumption of trading; and

3. Any other matters that the Exchange deems necessary.

(4) Pursuant to [§35(4)] of the Regulation, the Exchange shall carry out the following tasks to identify and manage the risks related to settlement of clearing members:

1. Periodic inspection and reporting on risk management related to clearing and settlement;

2. Management and operation of financial resources for settlement such as margin, joint compensation fund, and settlement reserve stipulated in [§54(1)4] of the Articles of Incorporation (hereinafter referred to as “settlement reserve”)

3. Conducting stress-testing analysis;

4. Evaluation, verification, and analysis of the appropriateness of risk management related to clearing and settlement; and

5. Inspection and public disclosure of compliance with international standards for risk management related to clearing and settlement.

(5) Detailed matters regarding the implementation of tasks stated in each subparagraph of paragraph 4 shall be determined separately by the Exchange.

§60. Standard Time of Liquidity Supply

(1) “Deadline specified in the Enforcement Rules” in [§36(1)] of the Regulation shall refer to the deadline in each of the following subparagraphs. In such cases, when changing the relevant deadline, it may be differently determined by taking such time into

consideration.

1. For settlement payment noted in [§9(1)1] of the Regulation: 16:00 hour
2. For settlement payment noted in [§9(1)2] of the Regulation: 17:00 hour
3. For deferred settlement payment noted in [§21(1)] of the Regulation: 17:00 hour
4. For purchase amount noted in [§22(3)2] of the Regulation: The hour noted in each of the following items:
 - (a) For buy-in noted in [§27(1)1]: 15:55 hour
 - (b) For buy-in noted in [§27(1)2]: 18:30 hour.

(2) Pursuant to [§36(6)] of the Regulation, in cases where a clearing member has failed to deliver the settlement securities noted in [§9(1)2] of the Regulation by 16:30 hour (in the case of changing the settlement deadline, the time determined separately by taking into consideration the changed time), the Exchange may supply the liquidity for the undelivered securities.

§61. Types of Financial Resources for Settlement, etc.

(1) The types of financial resources for settlement under [§36(6)] of the Regulation shall be each of the following subparagraphs

1. The settlement reserve;
2. The credit lines that the Exchange has established with a securities finance company or banks;
3. The joint compensation fund;
4. The fidelity guarantee money under Article 395 of the Act; and
5. Any other financial resources for settlement that the Exchange deems them necessary.

(2) The financial resources for settlement shall be used as stipulated by the Exchange separately in consideration of such factors as cashability, promptness or the timing of fulfilling settlement obligations.

(3) In cases where the Exchange has supplied the liquidity pursuant to [§36(1) or (2)] of the Regulation, when there is the money or security that a clearing member has deposited with the settlement account after the deadline according to [§60], the Korea Securities Depository shall pay or deliver to the account of the Exchange, which was notified in advance. In such cases, when the payment or delivery to the account of the Exchange has

been completed, it shall be deemed that the money or securities pursuant to [§36(4)] of the Regulation has been deposited.

(4) In cases where, before the Exchange supplies the liquidity pursuant to [§36(1) or (2)] of the Regulation, the clearing member has deposited the money or security with the settlement account after the deadline noted in [§60], it shall be deemed that the liquidity has been provided using the financial resources for settlement. In this case, the money or securities noted in [§36(4)] of the Regulations shall be deemed to have been deposited when the deposit is made to the settlement account.

(5) Pursuant to [§36(6)] of the Regulation, in the case where the Exchange provides liquidity by lending securities to a clearing member (limited to the member who has provided the collateral to the Exchange) who has failed to deposit securities and the member deposit the securities with the securities settlement account, it may pay the money to the relevant member or deliver the relevant securities to the security-receiving clearing member.

§62. Calculation Method of Late Settlement Fee, etc.

(1) “Deadline specified in the Enforcement Rules” in [§37(1)] of the Regulation shall refer to the deadline in each of the following subparagraphs. In this case, the latter part of the part other than each subparagraph of [§60(1)] shall apply *mutatis mutandis*.

1. For settlement security noted in [§9(1)1] of the Regulation: 16:00 hour
2. For settlement payment noted in [§9(1)1] of the Regulation: 16:00 hour
3. For settlement payment noted in [§9(1)2] of the Regulation, 17:00 hour
4. For deferred settlement payment noted in [§21(1)]: 17:00 hour
5. For purchase amount noted in [§22(3)2]: The time in each of the following items:
 - (a) For buy-in noted in [§27(1)1]: 15:55 hour
 - (b) For buy-in noted in [§27(1)2]: 18:30 hour

(2) Late settlement fee noted in [§37(1)] of the Regulation shall be the larger of the amount (the amount less than KRW 10 shall be discarded) obtained by multiplying the assessed settlement delay amount by the fee rate and KRW 10,000. In such cases, the late settlement fee paid to the clearing member who has not received the stocks, etc. by the deadline noted in paragraph (1)1 shall be an amount calculated by dividing the late settlement fee for the relevant issue in proportion to the quantities that the clearing members have not received.

1. For settlement securities noted in [§9(1)1] of the Regulation: The deferred

settlement amount per undelivered issue. In such cases, if the issue falls under any subparagraph of [§24(3)], it shall be the amount equivalent to the deferred settlement amount;

2. For settlement payment noted in [§9(1)1] of the Regulation: The unpaid settlement amount

3. For settlement payment noted in [§9(1)2] of the Regulation: The unpaid settlement amount

4. For deferred settlement payment noted in [§21(1)] of the Regulation: The unpaid deferred settlement amount

5. For purchase amount noted in [§22(3)2] of the Regulation: The unpaid purchase amount.

(3) The fee rate under paragraph (2) shall be as follows:

1. In the case of paragraph (2)1: 20/10,000. Provided that, in cases where the delivery of the issues settled on record date or cut-off date is delayed, it shall be 100/10,000, and in cases where the delivery of the collective investment securities of ETF collective investment vehicles is delayed, it shall be 5/10,000.

2. In the case of subparagraphs 2, 4 and 5 of paragraphs (2): 2/10,000.

3. In the case of paragraph (2)3: 1/10,000.

(4) Notwithstanding paragraph (3)2, in cases where the settlement payment, etc. was made within fifteen (15) minutes from the deadline under subparagraph 2, 4 or 5 of paragraph (1), 50% of the relevant fee rate shall apply, and in cases where the fee rate under subparagraph 2 or 3 of paragraph (3) is lower than the cost rate (rounded up to the 9th decimal place; hereinafter referred to as “adjustment rate”) for credit line used to supply the liquidity, the fee rate applied to the liquidity supplied using the credit line shall be the adjustment rate.

(5) In the case of calculating the late settlement fee pursuant to paragraph (2), the Exchange shall notify such fact to the relevant clearing member without delay.

(6) The clearing member shall pay the late settlement fee calculated pursuant to paragraph (2) to the Exchange’s account notified in advance as stipulated in each of the following subparagraphs:

1. In the case of paragraph (2)1: The amount obtained by subtracting the sum of late settlement fee to pay during the period from the first day of the month to the last day of the month from the sum of late settlement fee to receive shall be paid by the 10th day of the next month (it shall be the previous trading day if the relevant day is a market holiday). In such cases, the Exchange shall handover the late settlement fee

received to the clearing member to whom it is due without delay.

2. In the case other than the one noted in subparagraph 1: The payment shall be made by the 3rd day counting from the day the settlement payment was delayed.

(7) In cases where a clearing member failed to pay the late settlement fee noted in subparagraphs 2 through 5 of paragraph (2) by the payment deadline noted in paragraph (6)2, the clearing member shall pay the late settlement fee by adding the amount (the amount less than KRW 10 shall be discarded) obtained by multiplying 6/10,000 (8/10,000 in the case of paying it after thirty (30) days has elapsed counting from the day after the payment deadline) by the relevant late settlement fee for each day starting from the day following the deadline.

(8) The market holiday shall be excluded in counting the number of days in this Article.

§63. Settlement Support by Employee of the Exchange

(1) Pursuant to [§39(8)] of the Regulation, the employee of the Exchange, who is posted to support the clearing and settlement operation of the clearing member who failed to fulfill the settlement obligation, shall present the instruction to support the settlement operation to the relevant clearing member.

(2) The employee of the Exchange shall support the tasks of handling the settlement failures in a faithful and fair manner and shall keep confidential the information gained during the course of the work.

§64. Implementation of Crisis Management Drill

(1) The Exchange, in order to address the non-fulfillment of settlement obligation, shall conduct a crisis management drill for the purpose of reviewing the matters prescribed in each of the following subparagraphs on an annual basis or when it deems necessary.

1. Application of [§36] or [§39] of the Regulation; and

2. Other matters deemed necessary by the Exchange

(2) The results of the crisis management drill conducted pursuant to paragraph (1) shall be reported to the Risk Management Committee.

CHAPTER V. SUPPLEMENTARY PROVISIONS

§65. Public Opinion Gathering

Public opinion gathering pursuant to [§42] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

ADDENDA

(Regulation No. 2297 / February 27, 2025)

§1. Effective Date

This Regulation shall become effective on March 4, 2025.

§2. Amendment of Other Regulations

(1) The Enforcement Rules of the KOSPI Market Business Regulations shall be partially revised as follows:

Articles 91 through 96 shall be deleted, respectively.

Chapter 5 (Articles 99-12 through 101-18) shall be deleted.

Article 111-2(3) shall be deleted.

Article 112-2 through 121 shall be deleted, respectively.

Annex 5 through Annex 10 and Annex Form No.14 through Annex Form No. 18 shall be deleted, respectively.

(2) The Enforcement Rules of the KOSDAQ Market Business Regulations shall be partially revised as follows:

Chapter 4 (Articles 35-28 through 36-17) shall be deleted.

Article 44-2 through 49 shall be deleted, respectively.

Annex 6 through Annex 10 and Annex Form No.17, 18, 20, 21, and 22 shall be deleted, respectively.

(3) The Enforcement Rules of the KONEX Market Business Regulations shall be partially revised as follows:

Chapter 4 (Articles 45 through 63-2) shall be deleted.

Articles 75-2 through 80 shall be deleted, respectively.

Annex 3 through Annex 7 and Annex Form No.11 through Annex Form No. 15 shall be deleted, respectively.

ADDENDA

(Regulation No. 2431 / April 17, 2026)

§1. Effective Date

This Regulation shall become effective on April 27, 2026.

§2. Effective Date of the Securities Market Clearing and Settlement Business Regulations

“The date determined by the Enforcement Rules” in the Addendum of the Securities

Market Clearing and Settlement Business Regulations, Regulation No. 2418, amended on March 4, 2026 shall refer to April 27, 2026.

Guidelines for Calculation of Member Margins (net exposure margins & variable margins) and Margin Rates

(Pertaining to [§34] and [§42])

1. Member margins

Member margins shall be calculated by aggregating the margin amounts produced by a member's self-account group and customer account group, respectively, and the margin amount of each (self and customer) account group shall be calculated by aggregating the net exposure margins and variable margins. Provided that, in cases where the margin amount is negative, the amount shall be counted as zero ('0') and the member margin of a customer account group shall be the amount adjusted (hereinafter referred to as "adjusted member margin of customer account group") by multiplying it by a certain number (hereinafter referred to as "adjustment factor").

- Member Margin = Self-account group's member margin + Adjusted member margin of customer account group
- Self-account Group's Member Margin = $\text{Max}\{\text{Self-account group's net exposure margins} + \text{Variable margin}, 0\}$
- Adjusted Member Margin of Customer Account Group = Customer account group's member margin $\times$ Adjustment factor
- Customer Account Group's Member Margin = $\text{Max}\{\text{Customer account group's net exposure margin} + \text{Variable margin}, 0\}$

2. Net exposure margins

Net exposure margin shall be an amount equivalent to the net loss that may occur from the time when trading hours in the securities market end (in the case of the net exposure margin for calculation of intraday member margins, it shall the time of calculating intraday member margins; the same hereinafter in this Subparagraph) to the time of disposal of the quantity of net purchase (or sale), when the price or value of stocks, etc. (hereinafter referred to as "securities" in this Annex) changes by a certain level, and the amount of net exposure margin shall be the larger of the amounts obtained by aggregating the net exposure margins per issue calculated based on the time when trading hours in the securities market end for each of self-account group and customer account group of a member by the net purchase and the net sale (hereinafter referred to as "net exposure margins for net purchase" and "net exposure margins for net sale", respectively)

- Net Exposure Margin = $\text{Max}\{\text{Net exposure margin for net purchase, net exposure margin for net sale}\}$
 - Net exposure margin for net purchase = $\sum \text{Net exposure margins for net purchase per issue}$
 - Net exposure margin for net sale = $\sum \text{Net exposure margins for net sale per issue}$
- * For inverse securitized products, net purchase issues are classified as net exposure margins for net sale per issue and net sale issues reclassified as net exposure margins for net purchase per issue.

(a) Net exposure margin per issue

Net exposure margin per issue shall be an amount obtained by deriving the absolute value of the quantity of net purchase or net sale (hereinafter referred to as “net remaining quantity per issue”) remaining after offsetting the aggregate quantity of purchase and sale per issue, multiplied by “the closing price of the relevant trading day” under [§34] (hereinafter referred to as “member margin base price”) and the margin rate per issue.

- Net Exposure Margin Per Issue = $|\text{Net remaining quantity per issue}| \times \text{Member margin base price} \times \text{Margin rate}$
- Net remaining quantity per issue = $\sum \text{Purchase quantities per issue} - \sum \text{Sales quantities per issue}$

(b) Net exposure margin per issue for calculation of intraday member margin

Net exposure margin per issue for calculation of intraday member margin shall be an amount obtained by deriving the absolute value of the quantity of net purchase or net sale (hereinafter referred to as “net remaining quantity per issue of intraday member margin”) remaining after offsetting the aggregate quantity of purchase and sale per issue on the previous day and the day (it shall be up to the time of calculating intraday member margin; the same hereinafter), multiplied by the last price established within the time of calculating intraday member margin (if there is no price established, it shall be the day’s base price, but for subscription right certificates, subscription warrants and equity linked warrants, it shall be the previous day’s closing price; hereinafter referred to as “intraday member margin base price”) and the margin rate per issue.

- Net Exposure Margin Per Issue for Calculation of Intraday Member Margin = $|\text{Net remaining quantity per issue of intraday member margin}| \times \text{Intraday member margin base price} \times \text{Margin rate}$
- Net remaining quantity per issue of intraday member margin = $(\sum \text{Purchase quantities per issue of the previous day} - \sum \text{Sales quantities per issue of the previous day}) + (\sum \text{Purchase quantities per issue of the day} - \sum \text{Sales quantities per issue of the day})$

3. Variable Margins

Variable margin is an amount equivalent to the loss or gain incurred at the time when trading hours in the securities market end (in the case of variable margin for calculation of intraday member margins, it shall be the time of calculating intraday member margins) according to the changes in the price or value of securities after trading. The amount of variable margin shall be an amount obtained by summing up the aggregate amount of variable margins per issue for the quantity of each issue's net purchase (or sale) for each of the self-account group and the customer account group of a member.

$$\bullet \text{Variable Margin} = \sum \text{Variable margins per issue}$$

(a) Variable margin per issue

Variable margin per issue shall be an amount obtained by multiplying the net remaining quantity per issue by the price resulting from subtracting the execution price (it shall be a volume-weighted average price of the issue calculated for each of self-account group and customer account group of the member; the same hereinafter in this Subparagraph) from the member margin base price per issue and '-1'.

$$\text{Variable Margin Per Issue} = \text{Net remaining quantity per issue} \times (\text{Member margin base price per issue} - \text{Execution price}) \times (-1)$$

* The execution price is calculated by dividing the total trading value of an issue executed in the regular and off-hours sessions by the total trading volume, and numbers below KRW 1 shall be discarded.

(b) Variable margin per issue for calculation of intraday member margin

Variable margin per issue for calculation of intraday member margin shall be calculated by summing up the previous day's variable margin per issue and the day's variable margin per issue. In such cases, the previous day's variable margin per issue shall be an amount obtained by multiplying the net remaining quantity per issue of the previous day by the price resulting from subtracting the previous day's execution price from the intraday member margin base price per issue and '-1'; and the day's variable margin per issue shall be an amount obtained by multiplying the net remaining quantity per issue of the day by the price resulting from subtracting the day's execution price from the intraday member margin base price per issue and '-1'.

$$\text{Variable Margin Per Issue for Calculation of Intraday Member Margin} = \{ \text{Net remaining quantity per issue of the previous day} \times (\text{Intraday member margin base price per issue} - \text{The previous day's execution price}) \times (-1) \} + \{ \text{Net remaining quantity per issue of the day} \times (\text{Intraday member margin base price per issue} - \text{The day's execution price}) \times (-1) \}$$

* The execution price is calculated by dividing the total trading value of an issue executed in

the regular and off-hours sessions by the total trading volume, and numbers below KRW 1 shall be discarded.

4. Adjustment Factor

The adjustment factor in the proviso to item 1 shall be 1. Provided that, if the Exchange deems that a different adjustment factor is necessary for market management, it may set a different adjustment factor.

5. Margin Rates

The Exchange shall separately set the margin rates for the trading of a security in the securities market, based on the rates of volatility in the price of the security, the sector index to which the relevant security belongs or the indices that can represent the price of all securities listed on the stock market.

Calculation Methods of Securitization Periods and Proportions of Trade Execution Days for Stock Market-listed Stocks, Etc.

(Pertaining to [§45])

The disposal period and proportion of trade execution days of a security falling under [§45(1)1] shall be calculated for each issue of the security, based on the average daily trading value (excluding trading at multilateral trading companies) per issue and number of days with trades executed, etc. of the regular session trading days (excluding trade suspension days; hereinafter referred to as the “assessment period”) of the KOSPI market, KOSDAQ market and KONEX market for the latest one-year period, counting from the date of calculation.

1. Calculation Method of Disposal Period

Disposal Period = [Disposal value / Trading value in crisis situation]

- 1) Disposal value: 50% of the average daily trading value during the assessment period
- 2) Trading value in crisis situation: The value corresponding to the 95th percentile of the trading value during the assessment period, when sorted in descending order.

2. Calculation Method of Proportions of Trade Execution Days

Proportion of Trade Execution Days = (Number of trading days with trades executed / Number of trading days) × 100

- 1) Number of trading days with trades executed: Number of days in which the trades of the relevant issue were executed during the assessment period.
- 2) Number of trading days: Total number of days in the assessment period.

[Annex 3] Classification of Listed Debt Securities

Classification of Listed Debt Securities

(Pertaining to [§45], [§46], [§47] and [§53])

The listed debt securities are classified according to the ISIN No. and type of debt security prescribed in the Standard Code Management Guidelines for Securities and Related Financial Instruments, as shown in the following table.

ISIN	Type of Debt Securities	Classification	Remarks
1 or C	Treasury Bonds	Government Bond Group	-
	Type 1 National Housing Bonds		
	Type 2 National Housing Bonds		
	Type 3 National Housing Bonds		
	Grain Bonds		
	Foreign Exchange Stabilization Bonds		
	Treasury Bills		
	Public Land Reimbursement Road Bonds		
	Public Land Reimbursement Railway Bonds		
	Other Government Bonds		
3	Monetary Stabilization Bonds		
2	Seoul Metropolitan Rapid Transit Corporation Public Bonds	Municipal Bond Group	-
	Daejeon Metropolitan Rapid Transit Corporation Public Bonds		
	Incheon Metropolitan Rapid Transit Corporation Public Bonds		
	Gwangju Metropolitan Rapid Transit Corporation Public Bonds		
	Daegu Metropolitan Rapid Transit Corporation Public Bonds		

	Busan Metropolitan Rapid Transit Corporation Public Bonds		
	Daejeon Provincial Development Bonds		
	Incheon Provincial Development Bonds		
	Gwangju Provincial Development Bonds		
	Busan Provincial Development Bonds		
	Daegu Provincial Development Bonds		
	Ulsan Provincial Development Bonds		
	Gangwon Provincial Development Bonds		
	Chungnam Provincial Development Bonds		
	Chungbuk Provincial Development Bonds		
	Gyeonggi Provincial Development Bonds		
	Jeonbuk Provincial Development Bonds		
	Jeonnam Provincial Development Bonds		
	Gyeongbuk Provincial Development Bonds		
	Gyeongnam Provincial Development Bonds		
	Jeju Provincial Development Bonds		
	Seoul Metropolitan City Municipal Development Bonds		
	Changwon Provincial Development Bonds		
	Sejong Provincial Development Bonds		
	Public Offered Municipal Bonds		
	Other Municipal Bonds		
3	Specialized Bank Bonds	Specific Purpose Bond Group	To be classified whether with government guarantee or not
	KEPCO Bonds		
	Seoul Metro Bonds		
	Korea Telecommunication Authority Bonds		
	Land Development Bonds		
	Korea Expressway Corporation Bonds		

	Korea National Housing Corporation Bonds Korea Asset Management Corporation Bonds Korea Deposit Insurance Fund Bonds Busan Transportation Corporation Fund Bonds Korea Land and Housing Bonds Other Non-Financial Specific Purpose Bonds Local Public Enterprise Bonds		
6 or B	General Corporate Bonds General Bank Bonds (Financial) Card Bonds (Financial) Lease Purchase Bonds Integrated Financial Bonds (Financial) Installment Financial Bonds Securities Financial Bonds (Financial) Other Financial Bonds Foreign Bonds Other Bonds	Corporate Bond Group	‘(Financial)’ to be classified as bonds issued by financial institutions

[Annex 4] Classification of Collective Investment Securities of ETF Investment Companies, Exchange Traded Notes and Beneficiary Certificates Listed on Stock Market

Classification of Collective Investment Securities of ETF Investment Companies, Exchange Traded Notes and Beneficiary Certificates Listed on Stock Market

(Pertaining to [§45], [§46] [§47] [§50] and [§52])

1. Collective investment securities of ETF Investment Companies (hereinafter referred to as “ETFs”) and Exchange Traded Notes (hereinafter referred to as “ETNs”) are classified as shown in the following table, taking into consideration the multiplier (hereinafter referred to as the “index leverage classification”) linked to the change of price or index of underlying assets and the type of underlying assets.

ISIN	Index Leverage Classification	Type of Index Underlying Asset		Classifications	
		Category	Sub-category	ETFs	ETNs
7(ETF) G(ETN)	Positive multiplier of 1 times or less	Bond-type	Hybrid bond	Special purpose bond group	Corporate bond group (Financial institutions)
			Government bond	Government bond group	
			Corporate bond	Corporate bond group (Financial institutions)	
		Stock		Stock group	
		Commodity			
		Real estate			
		Currency			
		Mixed assets			
		Others			
	Positive or negative multiplier exceeding 1 times	Bond-type	Hybrid bond	Stock group (Derivative-type)	Stock group (Derivative-type)
			Government bond		
			Corporate bond		
		Stock			
		Commodity			
		Real estate			
		Currency			
		Mixed assets			
		Others			

Notes:

- 1) Applied to a security that does not fall under the category of ‘Bond-type’ and that does not fall under either ‘Leverage’ or ‘Inverse’.
- 2) Applied to a security that falls under the category of ‘Bond-type’ but does not fall under either ‘Leverage’ or ‘Inverse’.

2. Notwithstanding subparagraph 1 above, if any bond-type ETFs falls under active ETFs under [§113] of the KOSPI Market Listing Regulation, it shall be classified as ‘Corporate Bond Group (Financial Institutions’.)
3. Listed Beneficiary Certificates are classified as shown in the following table according to the ISIN codes under the Standard Code Management Guidelines for Securities and Related Financial Instruments and the types of underlying assets.

ISIN	Type of Underlying Asset	Classification
5	Stock-type	Stock Group
	Mortgage-backed Securities	
	Stock-bond Hybrid Type	
	Real Estate-type	
	Bond-type	Corporate Bond Group (Financial Institutions)

**Methods for Calculation and Inspection of Assessment Rates of
Stock Listed on Stock Market, etc.**

(Pertaining to [§50] and [§54])

1. Calculation Method of Assessment Rates

(a) Criteria for calculation of assessment rates

The assessment rates are calculated for the stocks listed on the stock market, DRs of listed foreign stocks and the securities falling under subparagraph 1(b) of [§47], by assigning liquidity grades and yield grades to each issue based on the average daily trading value during the assessment period under [Annex 2] (hereinafter in this Annex referred to as the “assessment period”), the result of eligibility assessment under [§45] and the yields, etc., and applying relevant grades to the assessment rate calculation intervals.

(b) Assessment rates by calculation interval and issue

(i) Assessment rate by calculation interval: The assessment rate of each calculation interval shall beset by assigning a difference of 2% points between each grade from the 1st to the 6th grade, starting from 80% which is the assessment rate set to the interval of which the liquidity and the yield are both 1stgrade, as shown in the following table.

[Assessment rates of listed stocks, etc.by calculation interval]

Classification		Yield Grades					
		1 st	2 nd	3 rd	4 th	5 th	6 th
Liquidity Grades	1 st	80%	78%	76%	74%	72%	70%
	2 nd	78%	76%	74%	72%	70%	68%
	3 rd	76%	74%	72%	70%	68%	66%
	4 th	74%	72%	70%	68%	66%	64%
	5 th	72%	70%	68%	66%	64%	62%
	6 th	70%	68%	66%	64%	62%	60%

(ii) Assessment rate by issue: The assessment rate of each issue of the securities falling under the stock group under subparagraph 1 of [§47] shall be the rate in the calculation interval set by the combination of the liquidity grade and the yield grade of the relevant

issue. Provided that, for the ETFs or ETNs classified as ‘Stock Group (Derivative-type)’ under [Annex 4], assessment rates shall be calculated after deducting 10% points from their respective assessment rates.

a) Liquidity grade: Liquidity grades are assigned in the order of 1st to 6st grade, after sorting the average daily trading value during the assessment period of individual issues which are classified into ‘eligible’ and ‘ineligible’ according to the result of eligibility assessment under [§45], in descending order, and aligning the ineligible securities after the eligible securities. In such cases, the grades of the ETFs and ETNs classified as ‘Stock Group’ (including Derivative-types) under [Annex 4] shall be upgraded by 2 grades from the initially assigned ones.

b) Yield grade: Yield grades are assigned in the order of 1st grade to 6th grade, after sorting the yields corresponding to the 99th percentile of the yields of individual issues for 3 trading days during the assessment period sorted in descending order.

2. Inspection of Appropriateness of Calculation Method of Assessment Rates

The inspection shall be carried out once a year as separately determined by the Exchange.

[Annex 6] Methods for Calculation and Inspection of Assessment Rates of Listed Debt Securities, Etc.

Methods for Calculation and Inspection of Assessment Rates of Listed Debt Securities, Etc.

(Pertaining to [§50], [§53] and [§54])

1. Calculation Method of Assessment Rate

(a) Criteria for calculation of assessment rates

With regard to the securities that fall under the government and public bonds group and the corporate bond group under subparagraphs 2 and 3 of [§47], the assessment rates are calculated by applying the types of issuers, credit ratings and the terms to maturity, etc. of each issue to the assessment rate calculation intervals.

(b) Assessment rates by calculation interval and issue

(i) Assessment rate of each calculation interval: The assessment rate of each calculation interval shall be set by assigning a difference of 1% point to 4% points between each grade, after dividing debt securities into 6 intervals by type of issuer (for the issuers other than those under the government bond group and municipal bond group, additional 5 intervals shall be established according to their credit ratings) and 5 intervals by terms to maturity, based on the rate (hereinafter referred to as the “base rate”) corresponding to the interval of the government bond group which has the shortest term to maturity, as shown in the following table.

[Assessment rates of listed debt Securities, etc. by calculation interval]

Classification		Terms to maturity				
Type of Issuer	Credit Rating	≤ 1 year	> 1 year and ≤ 3 years	> 3 years and ≤ 5 years	> 5 years and ≤ 10 years	> 10 years
Government Bond Group	n/a	r	r - 1%	r - 2%	r - 3%	r - 5%
Special Purpose Bond Group (Government Guarantee)	AAA	r - 2%	r - 3%	r - 4%	r - 5%	r - 7%
	AA+~AA-	r - 4%	r - 5%	r - 6%	r - 7%	r - 9%
	A+~BBB+	r - 6%	r - 7%	r - 8%	r - 9%	r - 11%
	BBB~BBB-	r - 10%	r - 12%	r - 14%	r - 16%	r - 20%
	BB+~	r - 14%	r - 16%	r - 18%	r - 20%	r - 24%
Special Purpose Bond Group	AAA	r - 4%	r - 5%	r - 6%	r - 7%	r - 9%
	AA+~AA-	r - 6%	r - 7%	r - 8%	r - 9%	r - 11%
	A+~BBB+	r - 8%	r - 9%	r - 10%	r - 11%	r - 13%
	BBB~BBB-	r - 12%	r - 14%	r - 16%	r - 18%	r - 22%
	BB+~	r - 16%	r - 18%	r - 20%	r - 22%	r - 26%

Municipal Bond Group	N/A	r - 6%	r - 7%	r - 8%	r - 9%	r - 11%
Corporate Bond Group (Financial Institutions)	AAA	r - 8%	r - 9%	r - 10%	r - 11%	r - 13%
	AA+~AA-	r - 10%	r - 11%	r - 12%	r - 13%	r - 15%
	A+~BBB+	r - 12%	r - 13%	r - 14%	r - 15%	r - 17%
	BBB~BBB-	r - 16%	r - 18%	r - 20%	r - 22%	r - 26%
	BB+~	r - 20%	r - 22%	r - 24%	r - 26%	r - 30%
Corporate Bond Group	AAA	r - 10%	r - 11%	r - 12%	r - 13%	r - 15%
	AA+~AA-	r - 12%	r - 13%	r - 14%	r - 15%	r - 17%
	A+~BBB+	r - 14%	r - 15%	r - 16%	r - 17%	r - 19%
	BBB~BBB-	r - 18%	r - 20%	r - 22%	r - 24%	r - 28%
	BB+~	r - 22%	r - 24%	r - 26%	r - 28%	r - 32%

* 'r' refers to the base rate.

(ii) Base rates: The base rates are calculated by subtracting '100%' from the minimum margin rate under [Annex 1] of the 'Detailed Rules of Regulation on Open Market Operation' of the Bank of Korea at the end of each quarter (hereinafter referred to as the "reference discount rate"), and the result is applied by subtracting the reference discount rate from '100%'. Provided that, if the reference discount rate fluctuates rapidly during the quarter, the base rate may be changed from time to time.

(iii) Assessment rate of each issue: The assessment rate of each issue shall be the rate in the calculation interval set by the combination of the type of issuer, credit rating and the term to maturity, etc. Provided that, in the case of securities that are not subject to credit rating, the credit rating of the debt securities of which issuer type falls under the special purpose bond group and the debt securities fall under subparagraphs 3, 4, and 4-2 of [§85] of the KOSPI Market Listing Regulation shall be 'BBB+', and the calculation intervals for the ETFs and ETNs whose type of index underlying asset is 'Bond Type' and the listed beneficial certificates whose type of underlying asset is 'Bond Type' under [Annex 4] shall be set as follows:

(a) For bond-type ETFs: The interval that falls under the credit rating of 'AA' (excluding government bond group) and the term to maturity of 3 to 5 years;

(b) For bond-type ETNs: The interval that falls under the credit rating of 'AA' and the term to maturity of each issue of relevant ETN; and

(c) For bond-type listed beneficiary certificates: The interval that falls under the credit rating of 'AA' and the term to maturity of 3 to 5 years.

2. Inspection of Appropriateness of Calculation Method of Assessment Rates

The inspection shall be carried out once a year as separately determined by the Exchange.

[Annex: Form No. 1] Request for Deposit/Withdrawal of Collateral for Settlement Expediency – Cash

Receipt	Input	Confirmation
*	*	*

Confirmation of deposit/withdrawal	*
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Request for Deposit/Withdrawal of Collateral for Settlement Expediency - Cash

To Korea Exchange,

Pursuant to [§13(5)] of the Enforcement Rules of the Securities Market Clearing and Settlement Business Regulation, we hereby request the deposit (withdrawal) of following amount.

Date: mm/dd/yyyy

Representative of xx Company: (Seal)

(Person in-charge: Contact no.:)

Type	Amount (KRW)	Bank name and Account no.
Deposit		
Withdrawal		

Notes:

1. Do not fill in the column marked with *.
2. Representative of the Company must use the seal registered with or notified to the Korea Exchange.
3. In the case of deposit, the bank account of Korea Exchange must be recorded and in the case of withdrawal, the bank account under the name of the company must be recorded.
4. In the case of withdrawal, the request shall be made only after having made a full delivery of settlement securities the company is obliged to deliver.

[Annex: Form No. 2] Request for Deposit/Withdrawal of Collateral for Settlement Expediency-KTBs, Etc.

Receipt	Input	Confirmation
*	*	*

Confirmation of deposit/withdrawal	*
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Request for Deposit/Withdrawal of Collateral for Settlement Expediency
- KTBs, Etc.

To Korea Exchange,

Pursuant to [§13(5)] of the Enforcement Rules of the Securities Market Clearing and Settlement Business Regulation, we hereby request the deposit (withdrawal) of the following securities.

Date: mm/dd/yyyy

Representative of xx Company: (Seal)

(Person in-charge: Contact no.:)

Type	Issue name	Code no.	Quantity (KRW)	Substitute price (KRW)	Amount (KRW)
Deposit					
Withdrawal					
	Total				

Notes:

1. Do not fill in the column marked with *.
2. Representative of the Company must use the seal registered with or notified to the Korea Exchange.
3. Issue name must be recorded in the order of the code number issued by the Korea Exchange.
4. The substitute price must be the substitute price of the date when this request is filed.
5. In the case of withdrawal, the request shall be made only after having made a full delivery of settlement securities the company is obliged to deliver.

[Annex: Form No. 3] Request for Deposit/Withdrawal of Member Margin - Cash

Receipt	Input	Confirmation
*	*	*

Confirmation of deposit/withdrawal	*
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Request for Deposit/Withdrawal of Member Margin - Cash

To Korea Exchange,

Pursuant to [§39] of the Enforcement Rules of the Securities Market Clearing and Settlement Business Regulation, we hereby request to deposit (withdraw) of the following amount.

Date: mm/dd/yyyy

Representative of xx Company: (Seal)

(Person in-charge: Contact no.:)

	Deposit (Withdrawal) amount	Name of bank and account number
Self-owned assets	Total of Korean Won (KRW)	

Notes:

1. Do not fill in the column marked with *.
2. The account information for deposit request shall be the bank account number under the Korea Exchange, and, for withdrawal request, it shall be the bank account under the member's name.
3. Clearing members may include in their own assets an amount equivalent to non-clearing member margins requirement among the assets deposited by a non-clearing member as non-clearing member margin and pay it.

[Annex: Form No. 4] Request for Deposit/Withdrawal of Member Margin - Foreign Currency

Receipt	Input	Confirmation
*	*	*

Confirmation of deposit/withdrawal	*
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Request for Deposit/Withdrawal of Member Margin - Foreign Currency

To Korea Exchange,

Pursuant to [§39] of the Enforcement Rules of the Securities Market Clearing and Settlement Business Regulation, we hereby request to deposit (withdraw) of the following amount.

Date: mm/dd/yyyy

Representative of xx Company: (Seal)

(Person in-charge: Contact no.:)

	Deposit (Withdrawal) amount			Name of bank and account number
	Amount of foreign currency	Appraisal price	Amount converted into KRW	
Self-owned assets			KRW	

Notes:

1. Do not fill in the column marked with *.
2. The foreign currency amount shall include the type of currency (USD, JPY, EUR, GBP, HKD, AUD, SGD, CHF, CAD, and CNY) and its amount.
3. The appraisal price is the amount obtained by multiplying basic market rate of each foreign currency by the assessment rate and converted into Korean won.
4. The amount converted into Korean won is the amount obtained by applying the appraisal price to the foreign currency amount.
5. The account information for deposit request shall be the bank account number under the Korea Exchange, and for withdrawal request it should be the bank account under the member's name.
6. Clearing members may include in their own assets an amount equivalent to non-clearing 5mber margins requirement among the assets deposited by a non-clearing member as non-clearing member margin and pay it.

[Annex: Form No. 5] Request for Deposit/Withdrawal of Member Margin - Substitute Securities

Receipt	Input	Confirmation
*	*	*

Confirmation of deposit/withdrawal	*
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Request for Deposit/Withdrawal of Member Margin
- Substitute Securities

To Korea Exchange,

Pursuant to [§39] of the Enforcement Rules of the Securities Market Clearing and Settlement Business Regulation, we hereby request to deposit (withdraw) of the following securities.

Date: mm/dd/yyyy

Representative of xx Company: (Seal)

(Person in-charge: Contact no.:)

Name of issue	Code number	Quantity	Substitute price (KRW)	Amount (KRW)
Stocks, etc. listed on KOSPI market (Sub-total)				
Bonds listed on KOSPI market (Sub-total)				
Stocks, etc. listed on KOSDAQ market (Sub-total)				
Stocks listed on KONEX market(Sub-total)				
Others (Sub-total)				
Total	-			

Notes:

1. Do not fill in the column marked with *.
2. The name of issue shall be stated in the order of KOSPI market-listed stocks, etc., KOSPI market-listed bonds, KOSDAQ market-listed stocks, etc., KONEX market-listed stocks; as well as in the order of the code number issued by the Korea Exchange or Korea Financial Investment Association.
3. Clearing members may include in their own assets an amount equivalent to non-clearing 5mber margins requirement among the assets deposited by a non-clearing member as non-clearing

member margin and pay it.

4. The substitute price shall be the price as of the date of deposit (withdrawal.)
5. The quantity units are the number of shares for stocks, KRW10,000 for bonds, the number of DRs for DRs of foreign stocks, the number units for beneficiary certificates, the number of share or units for ETFs and so forth.